Remarks

C01286-2026

- Pursuant to the relevant provisions of the Memorandum of Understanding (MOU) By and Between the Philippine Stock Exchange, Inc. (PSE) and the Securities and Exchange Commission (SEC) on the Listing of the PSE Shares on the PSE Trading Board, the Commission has caused the immediate posting of the foregoing disclosure/s in the PSE Electronic Disclosure Generation Technology System (PSE EDGE). This directive is being issued primarily for the purpose of ensuring the timely disclosure of information relating to PSE as a listed company and should not be construed as an approval by the Commission of the item/s being disclosed nor of any of the acts done by the PSE or it intends to do in relation to this disclosure. The PSE shall remain responsible for complying with the other requirements as mandated in the Securities Regulation Code (SRC) and other relevant laws and their respective rules and regulations. This approval is for the purpose of ensuring the immediate posting of the disclosure. Nothing herein precludes the Commission as the statutory regulator of the PSE as a registered exchange, as Self-Regulatory Organization and as an issuer of registered securities, to seek further clarification and/or information and to take appropriate action on the matter, including the imposition of penalty in case of violation of the SRC and its Implementing Rules and Regulations. Finally, the Commission, acting as the Exchange under the MOU, may also impose penalty in case of violation of the relevant PSE Rules.

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-C

CURRENT REPORT UNDER SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE 17.2(c) THEREUNDER

1. Date of Report (Date of earliest event reported)
   Feb 27, 2026
2. SEC Identification Number
   AN092-002557
3. BIR Tax Identification No.
   002-333-130
4. Exact name of issuer as specified in its charter
   The Philippine Stock Exchange, Inc.
5. Province, country or other jurisdiction of incorporation
   Republic of the Philippines
6. Industry Classification Code(SEC Use Only)

7. Address of principal office
   6th to 10th Floors, PSE Tower, 5th Avenue corner 28th Street, Bonifacio Global City, Taguig City
   Postal Code
   1634
8. Issuer's telephone number, including area code
   (632) 88764888

9. Former name or former address, if changed since last report

Not Applicable

10. Securities registered pursuant to Sections 8 and 12 of the SRC or Sections 4 and 8 of the RSA

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
Common Shares (Fully Paid)	81,994,272
Common Shares (Fully Paid)	272,933
Total	82,267,205

11. Indicate the item numbers reported herein

Item No. 9. Other Events

The Philippine Stock Exchange, Inc.
PSE

PSE Disclosure Form 4-30 - Material Information/Transactions
References: SRC Rule 17 (SEC Form 17-C) and Sections 4.1 and 4.4 of the Revised Disclosure Rules

Subject of the Disclosure
Consolidated Audited Financial Statements as of 31 December 2025.
Background/Description of the Disclosure
Please see the attached Consolidated Financial Statements with the Independent Auditor's Report as of 31 December 2025.
Other Relevant Information
None.

Filed on behalf by:

Name	Aissa Encarnacion
Designation	Corporate Information Officer

The Philippine Stock Exchange, Inc. and Subsidiaries

Consolidated Financial Statements
December 31, 2025 and 2024
and Years Ended December 31, 2025, 2024
and 2023

and

Independent Auditor's Report

SyCip Gorres Velayo & Co.
6760 Ayala Avenue
1226 Makati City
Philippines

Tel: (632) 8891 0307
Fax: (632) 8819 0872
sgv.ph

INDEPENDENT AUDITOR'S REPORT

The Stockholders and the Board of Directors
The Philippine Stock Exchange, Inc.

Opinion

We have audited the consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries (the Group), which comprise the consolidated statements of financial position as at December 31, 2025 and 2024, and the consolidated statements of comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for each of the three years in the period ended December 31, 2025, and notes to the consolidated financial statements, including material accounting policy information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2025 and 2024, and its consolidated financial performance and its consolidated cash flows for each of the three years in the period ended December 31, 2025 in accordance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

Basis for Opinion

We conducted our audits in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics), as applicable to the audits of the financial statements of public interest entities, together with the ethical requirements that are relevant to the audits of financial statements of public interest entities in the Philippines, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Information Technology Environment Supporting the Trading-related Revenue Process

The Group is highly dependent on the reliability and continuity of its information technology (IT) environment to support the automated data processing of its trading and market-related businesses. The Group continuously makes investments to further improve its IT applications and supporting IT infrastructure and IT processes. The IT environment is key to the Group's revenue generation and is relied upon for many aspects of its revenue reporting process. We therefore considered the testing of the IT controls over the IT processes as a key audit matter.

Audit Response

We obtained an understanding of the Group's IT environment, which covers the IT applications and supporting IT infrastructure, IT processes and IT personnel. We obtained an understanding of the IT controls over program changes to the IT applications, user access management to the IT applications and databases as well as controls over management of IT operations. To the extent applicable, we performed testing of the operation of the IT controls of the applications supporting the trading-related revenue process. We also tested the trading-related revenue process transaction level controls. We evaluated and considered the results of the testing of controls in the design and extent of our substantive audit procedures.

PFRS 15, Revenue Contracts with Customers on Revenue from Listing Fees

The Group applies PFRS 15, *Revenue from Contracts with Customers,* in recognizing revenue from listing fees. Revenue from listing fees is recognized using percentage of hours spent on the relevant activities of the departments performing the listing service over the listed companies' average listing life of fifteen (15) years. We consider the Group's revenue recognition of listing fees as a key audit matter because the significant areas of judgement and estimates for the Group in the revenue recognition of listing fees are in relation to the identification of performance obligations, the estimation of service period for listing services, and the determination of the timing of when the performance obligation is satisfied.

Refer to Note 3 to the consolidated financial statements for the disclosures related to the Group's revenue recognition.

Audit Response

We obtained an understanding of the Group's process for revenue recognition of listing fees and tested relevant controls. On a sample basis, we reviewed contracts and checked the identification of performance obligations for new listings during the year. We performed test calculation of revenue from listing fees and reviewed the model used to calculate the revenue from listing fees including the period over which revenue is deferred and subsequently amortized and the various inputs to the model such as the average listing life of a listed entity in the stock exchange and hours spent on the relevant activities of the departments performing the listing service.

Other Information

Management is responsible for the other information. The other information comprises the information included in the SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2025, but does not include the consolidated financial statements and our auditor's report thereon. The SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2025 are expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audits of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audits, or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with PFRS Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Sherwin V. Yason.

SYCIP GORRES VELAYO & CO.

Sherwin V. Yason
Partner
CPA Certificate No. 104921
Tax Identification No. 217-740-478
BOA/PRC Reg. No. 0001, April 16, 2024, valid until August 23, 2026
SEC Partner Accreditation No. 104921-SEC (Group A)
Valid to cover audit of 2020 to 2024 financial statements,
with extension up to audit of 2025 financial statements
SEC Firm Accreditation No. 0001-SEC (Group A)
Valid to cover audit of 2021 to 2025 financial statements
BIR Accreditation No. 08-001998-112-2023, September 12, 2023, valid until September 11, 2026
PTR No. 10765155, January 2, 2026, Makati City

February 25, 2026

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	December 31	
	2025	2024
ASSETS		
Current Assets		
Cash and cash equivalents (Notes 5, 6 and 7)	**₱1,352,001,667**	₱1,891,701,452
Short-term investments (Notes 5 and 6)	**127,919,604**	–
Financial assets at fair value through profit or loss (FVTPL) (Notes 5, 6 and 8)	**1,258,556,865**	1,229,139,304
Financial assets at fair value through other comprehensive income (FVOCI) (Notes 5, 6 and 9)	**228,570,532**	195,845,623
Financial assets at amortized cost (Notes 5, 6, and 10)	**1,140,470,847**	675,756,265
Receivables (Notes 5, 6 and 11)	**318,785,404**	258,506,969
Other current assets (Note 12)	**507,576,034**	273,037,578
Total Current Assets	**4,933,880,953**	4,523,987,191
Noncurrent Assets		
Long-term financial assets at FVOCI (Notes 5, 6 and 9)	**695,744,081**	907,639,759
Long-term financial assets at amortized cost (Notes 5, 6 and 10)	**3,381,545**	5,659,575
Property and equipment (Note 13)	**1,173,226,575**	1,173,556,325
Investment property (Note 14)	**122,398,929**	128,335,393
Right-of-use assets (Note 29)	**85,053,541**	100,930,127
Goodwill (Note 15)	**1,230,899,029**	1,230,899,029
Deferred tax assets - net (Note 30)	**317,568,373**	299,675,764
Pension asset (Note 31)	**61,826,323**	57,688,522
Other noncurrent assets (Notes 5 and 17)	**126,921,285**	109,191,179
Total Noncurrent Assets	**3,817,019,681**	4,013,575,673
	₱8,750,900,634	₱8,537,562,864

LIABILITIES AND EQUITY		
Current Liabilities		
Accounts payable and other current liabilities (Notes 5, 6 and 18)	**₱743,813,978**	₱429,874,889
Current portion of contract liabilities (Notes 5, 19 and 23)	**167,867,971**	173,637,454
Dividends payable (Note 15)	**102,627,654**	90,175,488
Current portion of loans payable (Notes 5 and 20)	**88,955,889**	–
Income tax payable	**82,360,169**	38,831,105
Current portion of lease liabilities (Notes 5 and 29)	**29,217,481**	49,389,227
Deferred fees and others (Note 19)	**40,771,083**	1,143,793
Total Current Liabilities	**1,255,614,225**	783,051,956
Noncurrent Liabilities		
Contract liabilities - net of current portion (Notes 5, 19 and 23)	**1,055,298,218**	1,025,719,817
Lease liabilities - net of current portion (Notes 5, 6 and 29)	**65,371,921**	60,016,893
Loans payable - net of current portion (Notes 5 and 20)	**805,316,425**	–
Pension liability and others (Note 31)	**52,560,000**	54,275,517
Total Noncurrent Liabilities	**1,978,546,564**	1,140,012,227
Total Liabilities	**3,234,160,789**	1,923,064,183
EQUITY		
Capital stock (Notes 1, 22 and 36)	**85,471,790**	85,400,310
Additional paid-in capital (Notes 1, 22 and 36)	**3,978,109,934**	3,962,378,379
Subscribed capital stock (Notes 22 and 36)	**42,402,896**	41,083,385
Subscription receivable (Notes 22 and 36)	**(15,827,414)**	(16,462,565)
Treasury stock (Note 22)	**(696,293,587)**	(696,293,587)
Equity reserve (Note 15)	**(954,048,168)**	(10,931,628)
Retained earnings:		
Unappropriated (Note 22)	**2,564,332,827**	2,222,780,349
Appropriated (Note 22)	**151,400,000**	151,400,000
Donated capital (Notes 15 and 21)	**221,597,831**	221,597,831
Unrealized loss on financial assets at FVOCI - net (Note 9)	**(2,829,462)**	(18,705,976)
Remeasurement loss on pension benefits and others - net (Notes 16 and 31)	**(9,139,555)**	(780,768)
Total Equity Attributable to Equity Holders of the Parent Company	**5,365,177,092**	5,941,465,730
Non-controlling interest (Note 15)	**151,562,753**	673,032,951
Total Equity	**5,516,739,845**	6,614,498,681
	₱8,750,900,634	₱8,537,562,864

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Years Ended December 31		
	2025	2024	2023
REVENUES (Note 23)	**₱2,842,603,240**	₱1,398,089,806	₱1,401,264,617
COST AND EXPENSES			
Cost of services (Note 25)	**871,904,559**	437,854,884	399,745,263
General and administrative (Note 26)	**529,406,650**	423,810,748	350,478,152
	1,401,311,209	861,665,632	750,223,415
OPERATING INCOME	**1,441,292,031**	536,424,174	651,041,202
OTHER INCOME (EXPENSES)			
Interest income (Note 24)	**208,642,481**	215,068,848	214,632,064
Interest expense (Notes 20 and 29)	**(61,205,524)**	(4,400,277)	(5,750,173)
Dividend income (Note 8)	**28,791,224**	24,704,600	24,596,359
Mark-to-market gain (loss) on FVTPL (Note 8)	**(21,902,301)**	21,724,363	10,375,308
Gain on sale of property and equipment (Note 13)	**37,338**	167,134	–
Gain on remeasurement of previously held equity interest (Note 15)	–	462,857,381	–
Equity in net income of an associate (Note 16)	–	98,555,487	72,537,222
Others - net (Note 24)	**11,837,173**	17,642,876	(2,018,492)
	166,200,391	836,320,412	314,372,288
INCOME BEFORE INCOME TAX	**1,607,492,422**	1,372,744,586	965,413,490
PROVISION FOR INCOME TAX (Note 30)	**383,504,676**	165,527,092	199,108,330
NET INCOME	**1,223,987,746**	1,207,217,494	766,305,160
OTHER COMPREHENSIVE INCOME (LOSS)			
Item to be reclassified to profit or loss in subsequent periods -			
Gain on change in the fair value of financial assets at FVOCI (Note 9)	**15,876,514**	4,593,303	28,731,022
Items not to be reclassified to profit or loss in subsequent periods:			
Remeasurement loss on pension benefits - net (Note 31)	**(8,508,984)**	(4,766,546)	(15,157,615)
Share in remeasurement gain (loss) on pension benefits of an associate (Note 16)	–	(1,218,595)	74,332
	7,367,530	(1,391,838)	13,647,739
TOTAL COMPREHENSIVE INCOME	**₱1,231,355,276**	₱1,205,825,656	₱779,952,899
Net Income Attributable to:			
Equity holders of the Parent Company	**₱1,155,790,887**	₱1,207,217,494	₱773,685,724
Non-controlling interests	**68,196,859**	–	(7,380,564)
	₱1,223,987,746	₱1,207,217,494	₱766,305,160
Total Comprehensive Income Attributable to:			
Equity holders of the Parent Company	**₱1,163,308,614**	₱1,205,825,656	₱787,333,463
Non-controlling interests	**68,046,662**	–	(7,380,564)
	₱1,231,355,276	₱1,205,825,656	₱779,952,899
Basic Earnings Per Share (Note 32)	**₱14.11**	₱14.75	₱9.47
Diluted Earnings Per Share (Note 32)	**₱14.11**	₱14.75	₱9.47

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

FOR THE YEARS ENDED DECEMBER 31, 2025, 2024 AND 2023

	Equity Attributable to Equity Holders of the Parent Company												
						Retained Earnings							
	Capital Stock (Notes 1, 22 and 36)	**Additional Paid-in Capital** (Notes 1, 22 and 36)	**Subscribed Capital Stock – net of Subscription Receivable** (Notes 22 and 36)	**Treasury Stock** (Note 22)	**Equity Reserve** (Note 15)	**Unappropriated** (Note 22)	**Appropriated** (Note 22)	**Donated Capital** (Note 21)	**Unrealized Gain (Loss) on Financial Assets at FVOCI - Net** (Note 9)	**Remeasurement Gain (Loss) on Pension Benefits and Others - Net** (Notes 16 and 31)	**Total**	**Non-controlling Interest** (Note 15)	**Total Equity**
Balances as at January 1, 2025	**₱85,400,310**	**₱3,962,378,379**	**₱24,620,820**	**(₱696,293,587)**	**(₱10,931,628)**	**₱2,222,780,349**	**₱151,400,000**	**₱221,597,831**	**(₱18,705,976)**	**(₱780,768)**	**₱5,941,465,730**	**₱673,032,951**	**₱6,614,498,681**
Net income	–	–	–	–	–	**1,155,790,887**	–	–	–	–	**1,155,790,887**	**68,196,859**	**1,223,987,746**
Other comprehensive income (loss)	–	–	–	–	–	–	–	–	**15,876,514**	**(8,358,787)**	**7,517,727**	**(150,197)**	**7,367,530**
Total comprehensive income (loss)	–	–	–	–	–	**1,155,790,887**	–	–	**15,876,514**	**(8,358,787)**	**1,163,308,614**	**68,046,662**	**1,231,355,276**
Employee stock purchase plan	**71,480**	**15,731,555**	**635,151**	–	–	–	–	–	–	–	**16,438,186**	–	**16,438,186**
Subscriptions	–	–	**1,319,511**	–	–	–	–	–	–	–	**1,319,511**	–	**1,319,511**
Cash dividends - ₱10.00 per share	–	–	–	–	–	**(822,678,670)**	–	–	–	–	**(822,678,670)**	–	**(822,678,670)**
Acquisition of non-controlling interests	–	–	–	–	**(943,116,540)**	**8,440,261**	–	–	–	–	**(934,676,279)**	**(589,516,860)**	**(1,524,193,139)**
Balances as at December 31, 2025	**₱85,471,790**	**₱3,978,109,934**	**₱26,575,482**	**(₱696,293,587)**	**(₱954,048,168)**	**₱2,564,332,827**	**₱151,400,000**	**₱221,597,831**	**(₱2,829,462)**	**(₱9,139,555)**	**₱5,365,177,092**	**₱151,562,753**	**₱5,516,739,845**
Balances as at January 1, 2024	₱85,221,965	₱3,937,143,573	₱35,303,828	(₱696,293,587)	₱–	₱1,851,411,245	₱136,400,000	₱211,597,831	(₱23,299,279)	₱5,204,373	₱5,542,689,949	(₱10,931,628)	₱5,531,758,321
Net income	–	–	–	–	–	1,207,217,494	–	–	–	–	1,207,217,494	–	1,207,217,494
Other comprehensive income (loss)	–	–	–	–	–	–	–	–	4,593,303	(5,985,141)	(1,391,838)	–	(1,391,838)
Total comprehensive income (loss)	–	–	–	–	–	1,207,217,494	–	–	4,593,303	(5,985,141)	1,205,825,656	–	1,205,825,656
Employee stock purchase plan	178,345	25,234,806	(1,766,930)	–	–	–	–	–	–	–	23,646,221	–	23,646,221
Subscriptions	–	–	(8,916,078)	–	–	–	–	–	–	–	(8,916,078)	–	(8,916,078)
Cash dividends - ₱10.00 per share	–	–	–	–	–	(820,848,390)	–	–	–	–	(820,848,390)	–	(820,848,390)
Appropriated for infrastructure	–	–	–	–	–	(15,000,000)	15,000,000	–	–	–	–	–	–
Acquisition of a subsidiary	–	–	–	–	–	–	–	–	–	–	–	673,032,951	673,032,951
Acquisition of non-controlling interests	–	–	–	–	(10,931,628)	–	–	10,000,000	–	–	(931,628)	10,931,628	10,000,000
Balances as at December 31, 2024	₱85,400,310	₱3,962,378,379	₱24,620,820	(₱696,293,587)	(₱10,931,628)	₱2,222,780,349	₱151,400,000	₱221,597,831	(₱18,705,976)	(₱780,768)	₱5,941,465,730	₱673,032,951	₱6,614,498,681
Balances as at January 1, 2023	₱85,153,982	₱3,923,275,523	₱27,163,101	(₱696,293,587)	₱–	₱1,913,922,651	₱121,000,000	₱211,597,831	(₱52,030,301)	₱20,287,656	₱5,554,076,856	(₱6,200,350)	₱5,547,876,506
Net income	–	–	–	–	–	773,685,724	–	–	–	–	773,685,724	(7,380,564)	766,305,160
Other comprehensive income (loss)	–	–	–	–	–	–	–	–	28,731,022	(15,083,283)	13,647,739	–	13,647,739
Total comprehensive income (loss)	–	–	–	–	–	773,685,724	–	–	28,731,022	(15,083,283)	787,333,463	(7,380,564)	779,952,899
Employee stock purchase plan	67,983	13,868,050	2,457,028	–	–	–	–	–	–	–	16,393,061	–	16,393,061
Subscriptions	–	–	5,683,699	–	–	–	–	–	–	–	5,683,699	–	5,683,699
Cash dividends - ₱11.00 per share	–	–	–	–	–	(820,797,130)	–	–	–	–	(820,797,130)	–	(820,797,130)
Appropriated for infrastructure	–	–	–	–	–	(15,400,000)	15,400,000	–	–	–	–	–	–
Subscription of capital stock attributable to minority interest	–	–	–	–	–	–	–	–	–	–	–	2,649,286	2,649,286
Balances as at December 31, 2023	₱85,221,965	₱3,937,143,573	₱35,303,828	(₱696,293,587)	₱–	₱1,851,411,245	₱136,400,000	₱211,597,831	(₱23,299,279)	₱5,204,373	₱5,542,689,949	(₱10,931,628)	₱5,531,758,321

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years Ended December 31		
	2025	2024	2023
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax	**₱1,607,492,422**	₱1,372,744,586	₱965,413,490
Adjustments for:			
Depreciation and amortization (Notes 13, 14, 17, 25, 26 and 29)	**269,672,180**	226,330,272	154,098,080
Interest income (Note 24)	**(208,642,481)**	(215,068,848)	(214,632,064)
Interest expense on loans payable (Note 20)	**53,697,317**	–	–
Dividend income (Note 8)	**(28,791,224)**	(24,704,600)	(24,596,359)
Net pension cost (Note 31)	**23,654,373**	10,581,651	7,314,032
Mark-to-market loss (gain) on financial assets at FVTPL (Note 8)	**21,902,301**	(21,724,363)	(10,375,308)
Unrealized foreign exchange losses (gains) - net	**9,905,395**	18,626,722	(692,771)
Interest expense on lease liabilities (Note 29)	**7,508,207**	4,400,277	5,750,173
Share-based payment expense (Note 36)	**2,989,224**	2,653,365	4,439,155
Amortization of discount or premium (Note 9)	**2,648,124**	394,900	12,145,130
Gain on sale of property and equipment (Note 13)	**(37,338)**	(167,134)	–
Gain on remeasurement of previously held interest (Note 15)	–	(462,857,381)	–
Equity in net income of an associate (Note 16)	–	(98,555,487)	(72,537,222)
Income before working capital changes	**1,761,998,500**	812,653,960	826,326,336
Changes in operating assets and liabilities:			
Decrease (increase) in:			
Receivables	**(60,278,435)**	(9,191,792)	34,113,519
Other current assets	**(234,538,456)**	(66,374,189)	(20,625,600)
Increase (decrease) in:			
Accounts payable and other current liabilities	**46,062,094**	53,300,237	(14,917,166)
Contract liabilities	**23,808,918**	(40,848,236)	(14,141,762)
Deferred fees and others	**39,627,290**	(148,494)	(1,136,264)
Cash generated from operations	**1,576,679,911**	749,391,486	809,619,063
Income and final taxes paid	**(355,703,342)**	(172,789,682)	(182,510,239)
Interest received	**208,642,481**	215,068,848	214,632,065
Benefits paid out of the Parent Company's funds (Note 31)	–	(269,325)	–
Net cash provided by operating activities	**1,429,619,050**	791,401,327	841,740,889
CASH FLOWS FROM INVESTING ACTIVITIES			
Dividends received (Notes 8 and 16)	**28,791,224**	87,644,600	98,026,359
Acquisitions of/additions to:			
Financial assets at amortized cost (Note 10)	**(464,714,582)**	–	–
Property and equipment (Notes 13 and 38)	**(239,522,784)**	(154,195,034)	(105,236,857)
Short-term investments	**(127,919,604)**	–	(538,652,985)
Financial assets at FVTPL (Note 8)	**(51,319,862)**	(67,973,806)	(27,605,826)
Financial assets at FVOCI (Note 9)	**(51,030,000)**	(92,160,000)	(214,305,000)
Acquisition through business combination (Note 15)	–	(1,194,771,600)	–
Proceeds from maturities/withdrawal/sale/redemption of:			
Financial assets at FVOCI (Note 9)	**243,429,159**	349,289,458	1,262,312,004
Financial assets at amortized cost (Note 10)	**2,278,030**	–	–
Property and equipment (Note 13)	**57,920**	6,147,631	541,697
Short-term investments	–	950,745,626	–
Net cash acquired through business combination (Note 15)	–	590,537,592	–
Contribution to retirement fund (Note 31)	**(39,670,676)**	(19,296,291)	(22,034,483)
Decrease (increase) in other noncurrent assets	**(40,077,309)**	6,137,808	9,978,699
Net cash provided by (used in) investing activities	**(739,698,484)**	462,105,984	463,023,608

(Forward)

	Years Ended December 31		
	2025	2024	2023
CASH FLOWS FROM FINANCING ACTIVITIES (Note 38)			
Proceeds from:			
Availment of long-term debt (Note 20)	**₱893,250,000**	₱–	₱–
Funds held in trust (Notes 12 and 18)	**294,000,000**	–	–
Subscription of capital stock attributable to non-controlling interest	**–**	–	2,649,286
Payments of:			
Acquisition of non-controlling interest (Note 15)	**(1,532,633,400)**	–	–
Dividends (Note 22)	**(810,226,504)**	(820,848,390)	(820,797,130)
Lease liabilities (Note 29)	**(50,347,186)**	(26,557,140)	(26,518,640)
Interest on long-term debt (Note 20)	**(28,468,603)**	–	–
Long-term employee benefits and others	**(57,735)**	(53,894)	331,273
Share-based payment transactions (Note 36)	**14,768,473**	12,076,778	17,109,708
Net cash used in financing activities	**(1,219,714,955)**	(835,382,646)	(827,225,503)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	**(529,794,389)**	418,124,665	477,538,994
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	**(9,905,396)**	(18,626,722)	692,771
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR (Note 7)	**1,891,701,452**	1,492,203,509	1,013,971,744
CASH AND CASH EQUIVALENTS AT END OF YEAR (Note 7)	**₱1,352,001,667**	₱1,891,701,452	₱1,492,203,509

See accompanying Notes to Consolidated Financial Statements.

1. Corporate Information

The Philippine Stock Exchange, Inc. (the Parent Company or the Exchange) was incorporated in the Philippines on July 14, 1992 as a non-stock corporation primarily to provide and maintain a convenient and suitable market for the exchange, purchase and sale of all types of securities and other instruments as defined under the Securities Regulation Code (SRC).

On August 8, 2001, the Parent Company was converted from a non-stock corporation to a stock corporation (demutualization) with an authorized capital stock of ₱36.80 million divided into 36,800,000 shares with a par value of ₱1.00 per share as prescribed by Republic Act (RA) No. 8799 or SRC and pursuant to a conversion plan approved by the Securities and Exchange Commission (SEC) (see Note 22).

The salient features of the demutualization plan approved by the SEC on August 3, 2001 include, among others, the following:

a. Conversion of the Parent Company into a stock corporation by amending its Articles of Incorporation and by-laws;
b. Subscription of each member of 50,000 shares at ₱1.00 per share. The remaining balance of the Membership Contributions account of ₱277.47 million shall be treated as additional paid-in capital;
c. Issuance of trading rights to brokers in recognition of the existing seat ownership by the brokers;
d. Separation of ownership of shares and right to operate as a trading participant in the Exchange. The trading rights shall be transferable without time limitation; and
e. Imposition of a moratorium on the issuance of the new trading rights.

On December 15, 2003, the Parent Company's shares of stock were listed by way of introduction of its outstanding shares to comply with the requirements mandated by the SRC, particularly the conversion of the Parent Company into a stock corporation.

On January 28, 2004, the Parent Company offered 6,077,505 unissued shares to the private sector as part of its on-going effort to comply with SRC's mandate regarding the ownership of the Exchange (see Note 19). Gross proceeds from the private placement offering amounted to ₱726.26 million, inclusive of additional paid-in capital of ₱720.18 million representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱21.10 million were recorded as a reduction of the additional paid-in capital (see Note 22).

On September 10, 2008, the Parent Company's BOD approved the issuance of the 100% stock dividend declared by the Exchange to stockholders of record as of December 13, 2013. On September 12, 2008, the SEC approved to increase the authorized shares of the Company by 61,000,000 shares. The total number of shares issued in 2008 was 15,177,499 shares (see Note 22).

The total number of shares issued in 2011 was 30,504,363 shares (see Note 22).

On December 10, 2013, the Parent Company's BOD approved the issuance of the 20% stock dividend declared by the Exchange on October 22, 2008 to stockholders of record as of September 26, 2008. On November 14, 2013, the SEC approved to increase the authorized shares of the Company by 22,200,000 shares. The total number of shares issued in 2013 was 12,221,680 shares (see Note 22).

On October 25, 2017, the BOD approved the stock rights offering (SRO) to stockholders of up to 11,500,000 common shares to be issued under terms and conditions as determined by the Exchange. This is part of the compliance plan to align shareholder ownership with the 20% limit set by SRC. The proceeds from the stock rights offering will be used to fund the acquisition of Philippine Dealing System Holdings Corp. (PDSHC) and capital requirements of the Exchange (see Note 22).

On February 23, 2018, the price of the Exchange's SRO was determined. The Exchange offered 11,500,000 shares to eligible stockholders of record as of March 1, 2018 at ₱252.00 per rights share. The offer period was from March 12 to 16, 2018. On March 22, 2018, the Exchange successfully listed the 11,500,000 shares in the Philippine Stock Exchange (PSE). Gross proceeds from the stock rights offering amounted to ₱2.90 billion, inclusive of additional paid-in capital of ₱2.89 billion representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱73.35 million were recorded as a reduction of the additional paid-in capital (see Note 22).

On May 4, 2019, the stockholders of the Exchange approved the amendments of the Exchange's articles of incorporation to: (a) include in the secondary purposes, the right to lease, exchange mortgage and to exercise all other rights of ownership over its properties and (b) to create preferred shares by reclassifying 14,000,000 unissued common shares into 14,000,000 preferred shares with par value of ₱1.00 per share. On September 12, 2019, the SEC approved the amendments in the Exchange's articles of incorporation (see Note 22).

Securities Clearing Corporation of the Philippines (SCCP), a 100% owned subsidiary of the Exchange, is a domestic stock corporation organized to carry out and strictly implement the following functions: (1) Delivery-versus-Payment trade settlement; (2) fails management and administration of the Clearing and Trade Guaranty Fund (CTGF); and (3) risk monitoring and management. To ensure compliance of trading participants, SCCP is authorized by the SEC to impose fines and penalties and other sanctions as approved by SCCP's Board of Directors (BOD). SCCP was given a temporary license to operate by the SEC and started its commercial operations on January 3, 2000. On January 15, 2002, the SEC approved SCCP's request for a permanent license as a clearing agency subject to its compliance with the requirements of Section 42 of the SRC entitled "Registration of Clearing Agency".

Capital Markets Integrity Corporation (CMIC), a 100% owned subsidiary of the Exchange, is a domestic stock corporation organized on March 14, 2011 to function as the independent audit, surveillance and compliance unit of the Exchange with the authority to adopt, enforce, implement and interpret rules, guidelines and securities laws applicable to the operations and dealings of trading participants and other market participants of the Exchange.

Premier Software Enterprise, Inc. (Premier), a 100% owned subsidiary of the Exchange, is a domestic stock corporation organized on May 16, 2019 to engage in the business of manufacturing, distribution, sales and marketing of all kinds of technology related products and services such as computer hardware, software, internet service providing, voice and data network integration, packet or cell switching technologies, circuit switching technology, information software services, product designing and other information technology applications and services, except telecommunications business.

PSE Realty, Inc. (PRI), a 100% owned subsidiary of the Exchange, is a domestic stock corporation incorporated on June 18, 2024 to acquire by purchase, lease, donation or otherwise, own, hold for investment or otherwise, develop, improve, use, lease, sublease, mortgage, pledge, sell, assign, transfer, exchange or otherwise dispose of, maintain, administer, manage, and operate, alone or jointly with others, real property of all kinds, classes, description, and purpose, such as but not limited to office, commercial, residential or mixed-use properties, hotels, inns, resorts, and apartments, without however engaging in real estate subdivision business.

Philippine Dealing System Holdings Corp. (PDSHC), a 94.21% owned subsidiary of the Exchange is a domestic corporation incorporated in the Philippines on April 24, 2001 to invest in, purchase, or otherwise hold, use, sell, assign, transfer, mortgage, pledge, exchange, or otherwise dispose of shares of stock in exchanges as defined in the Securities Regulation Code or other laws, as well as in one or more corporations which will provide depository, registry, clearing, settlement, custody, securities borrowing and lending, information technology, and other support services for the exchange or for the other exchanges of securities or monetary transactions or platforms (see Note 15).

The Parent Company and its subsidiaries are collectively referred to these consolidated financial statements as the “Group”. The registered office address of the Parent Company is 6th to 10th Floors, PSE Tower, 5th Avenue cor. 28th Street, Bonifacio Global City, Taguig City.

Authorization for Issuance of the Consolidated Financial Statements
The accompanying consolidated financial statements were authorized for issuance by the Parent Company’s BOD on February 25, 2026.

2. Basis of Preparation, Statement of Compliance, Basis of Consolidation and Changes in Accounting Policies and Disclosures

Basis of Preparation
The accompanying consolidated financial statements of the Group have been prepared on a historical cost basis, except for financial assets at fair value through profit or loss (FVTPL) and financial assets at fair value through other comprehensive income (FVOCI) which are measured at fair value. The consolidated financial statements are presented in Philippine peso, which is the Parent Company’s functional and presentation currency under Philippine Financial Reporting Standards (PFRS) Accounting Standards. All values are rounded to the nearest peso, except when otherwise indicated.

The consolidated financial statements provide comparative information in respect of the previous periods.

Statement of Compliance
The consolidated financial statements have been prepared in compliance with PFRS Accounting Standards.

Basis of Consolidation
The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiaries as at December 31, 2025 and 2024, and for each of the three years in the period ended December 31, 2025. The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company, using consistent accounting policies.

Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Generally, there is a presumption that a majority of voting rights result in control. When the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; or

- The Group's voting rights and potential voting rights.

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the Parent Company and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary;
- Derecognizes the carrying amount of any non-controlling interests;
- Derecognizes the cumulative translation differences recorded in equity;
- Recognizes the fair value of the consideration received;
- Recognizes the fair value of any investment retained;
- Recognizes any gain or loss in profit or loss; and
- Reclassifies the parent's share of components previously recognized in OCI to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

The consolidated financial statements as at December 31, 2025 and 2024 include the accounts of the Parent Company and the following subsidiaries:

		Direct Ownership	
Subsidiaries	Principal Activities	**2025**	2024
SCCP	Clearing agency	**100.00%**	100.00%
CMIC	Audit and surveillance unit	**100.00%**	100.00%
Premier	Software and IT services	**100.00%**	100.00%
PDSHC*	Depository, registry, clearing and settlement services	**94.21%**	53.34%
PRI**	Real estate	**100.00%**	100.00%

** From January 17, 2025 to December 18, 2025, the Exchange acquired additional ownership interest in PDSHC (see Note 15).*
*** Incorporated on June 18, 2024.*

The principal place of business and country of incorporation of the Parent Company's subsidiaries is the Philippines.

Changes in Accounting Policies and Disclosures
The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of amendments starting January 1, 2025. Except as otherwise indicated, the adoption of these amendments did not have any significant impact on the Group's consolidated financial statements.

- Amendments to PAS 21*, Lack of exchangeability*

  The amendments specify how an entity should assess whether a currency is exchangeable and how it should determine a spot exchange rate when exchangeability is lacking. Earlier adoption is permitted and that fact must be disclosed. When applying the amendments, an entity cannot restate comparative information.

Future Changes in Accounting Policies
The Group did not early adopt the following new standards, amendments and improvements to PFRS Accounting Standards that have been approved but are not yet effective. The Group does not expect these changes to have a significant impact on its consolidated financial statements unless otherwise indicated.

Effective beginning on or after January 1, 2026

- Amendments to Illustrative Examples on PFRS 7, PFRS 18, Philippine Accounting Standards (PAS) 1, PAS 8, PAS 26 and PAS 37, *Disclosures about Uncertainties in the Financial Statements*
- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*
- Amendments to PFRS 9 and PFRS 7, *Contracts Referencing Nature-dependent Electricity*
- Annual Improvements to PFRS Accounting Standards—Volume 11
  - Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*
  - Amendments to PFRS 7, *Gain or Loss on Derecognition*
  - Amendments to PFRS 9, *Lessee Derecognition of Lease Liabilities and Transaction Price*
  - Amendments to PFRS 10, *Determination of a 'De Facto Agent'*
  - Amendments to PAS 7, *Cost Method*

Effective beginning on or after January 1, 2027

- PFRS 17, *Insurance Contracts*
- PFRS 18, *Presentation and Disclosure in Financial Statements*

  The standard replaces PAS 1, *Presentation of Financial Statements*, and responds to investors' demand for better information about companies' financial performance. The new requirements include:
  - Required totals, subtotals and new categories in the statement of profit or loss
  - Disclosure of management-defined performance measures
  - Guidance on aggregation and disaggregation

  The Group is currently assessing the impact of the new standard in the consolidated financial statements.

- PFRS 19, *Subsidiaries without Public Accountability*
- Amendments to PAS 21, *Translation to a Hyperinflationary Presentation Currency*

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

3. Summary of Material Accounting Policies

Determination of Fair Value
Fair value is the estimated price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their best economic interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

Assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 **-** Quoted (unadjusted) market prices in active markets for identical assets or liabilities;

Level 2 **-** Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; and

Level 3 **-** Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group determines the policies and procedures for both recurring and non-recurring fair value measurements. For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy.

The Group recognizes transfers into and transfers out of fair value hierarchy levels by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) as at the date of the event or change in circumstances that caused the transfer.

'Day 1 Difference'

Where the transaction price in a non-active market is different from the fair value based on other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a 'Day 1 difference') in the profit or loss unless it qualifies for recognition as some other type of asset. In cases where unobservable data is used, the difference between the transaction price and model value is recognized in the profit or loss only when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the 'Day 1 difference' amount.

Recognition, Measurement, Derecognition, Impairment and Offsetting of Financial Instruments

Date of Recognition. The Group recognizes a financial asset or a financial liability in the consolidated statements of financial position when it becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Initial Recognition and Measurement. Financial assets are classified, at initial recognition, as financial assets measured at amortized cost, FVTPL and FVOCI. All financial assets are recognized initially at fair value plus, in the case of financial assets not recorded at FVTPL, transaction costs that are attributable to the acquisition of the financial assets.

Financial liabilities are classified, at initial recognition, as financial liabilities at FVTPL, loans and borrowings or as derivatives designated as hedging instruments in an effective hedge, as appropriate. All financial liabilities are recognized initially at fair value and in the case of loans and borrowings, inclusive of directly attributable transaction costs (referred to herein as "debt issue costs").

The Group has no financial liabilities at FVTPL as at December 31, 2025 and 2024.

Subsequent Measurement. For purposes of subsequent measurement, financial assets and financial liabilities are classified as follows:

- Financial assets at FVTPL

  Financial assets at FVTPL comprise of quoted equity instruments, government securities and money market funds which the Group has not irrevocably elected, at initial recognition, to classify at FVOCI. The Group has no financial asset designated at FVTPL on initial recognition.

  As at December 31, 2025 and 2024, this category include investments in quoted equity securities, government securities and money market funds (see Note 8).

- Financial Assets at Amortized Cost

  This category includes financial assets: (a) which are held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and (b) which contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

  As at December 31, 2025 and 2024, this category includes cash and cash equivalents, short-term investments, receivables, deposits in bank, claims under litigation, refundable security deposits, government securities and corporate debt securities (see Notes 7, 10, 11 and 17).

- Financial Assets at FVOCI with recycling

  This category includes financial assets: (a) which are held within a business model in which assets are managed to achieve a particular objective by both collecting contractual cash flows and selling financial assets; and (b) which contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

  As at December 31, 2025 and 2024, this category includes investments in government securities and corporate bonds (see Note 9).

- Financial Liabilities at Amortized Cost

  After initial recognition, interest bearing loans and borrowings are subsequently measured at amortized cost using the EIR method.

  Debt issue costs are amortized over the life of the debt instrument using the EIR method. Debt issue costs are netted against the related loans and borrowings allocated correspondingly between the current and noncurrent portion.

  Gains and losses are recognized in the profit or loss when the liabilities are derecognized, as well as through the amortization process.

  As at December 31, 2025 and 2024, this category includes accounts payable and other current liabilities (excluding payable to government agencies), loans payable and lease liabilities (see Notes 20 and 29).

Derecognition of Financial Assets and Financial Liabilities

Financial Assets. An entity shall derecognize a financial asset when, and only when:

- the contractual rights to the cash flows from the financial asset expire; or
- the Group transfers the contractual rights to receive the cash flows of the financial asset or retains the contractual rights to receive the cash flows of the financial assets, but assumes a contractual obligation to pay the cash flows to one or more recipients in an arrangement where:

  a. the Group has no obligation to pay amounts to the eventual recipients unless it collects equivalent amounts from the original asset. Short-term advances by the entity with the right of full recovery of the amount lent plus accrued interest at market rates do not violate this condition;

b. the Group is prohibited by the terms of the transfer contract from selling or pledging the original asset other than as security to the eventual recipients for the obligation to pay them cash flows; and

c. the Group has an obligation to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the entity is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents during the short settlement period from the collection date to the date of required remittance to the eventual recipients, and interest earned on such investments is passed to the eventual recipients.

When the Group transfers a financial asset, it evaluates the extent to which it retains the risks and rewards of ownership of the financial asset. The transfer of risks and rewards is evaluated by comparing the Group's exposure, before and after the transfer, with the variability in the amounts and timing of the net cash flows of the transferred asset. The Group has retained substantially all the risks and rewards of ownership of a financial asset if its exposure to the variability in the present value of the future net cash flows from the financial asset does not change significantly as a result of the transfer. The Group has transferred substantially all the risks and rewards of ownership of a financial asset if its exposure to such variability is no longer significant in relation to the total variability in the present value of the future net cash flows associated with the financial asset.

Financial Liabilities. A financial liability is derecognized when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in profit or loss.

Impairment of Financial Assets

The Group's accounting for impairment losses for financial assets uses a forward-looking expected credit loss (ECL) approach. ECL is based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows the Group expects to receive. For cash in bank, cash equivalents and short-term investments, the Group has applied the General Approach and has calculated ECL based on 12-month ECL. For trade receivables, deposits and other current receivables, the Group has applied the simplified approach and has calculated ECL based on lifetime ECL. For debt financial assets at FVOCI, the Group has applied the General Approach and has calculated ECL based on either the 12-month ECL or lifetime ECL, if significant increase in credit risk (SICR) is established. The Group takes into consideration the Group's historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

Definition of Default and Credit-impaired Financial Assets. The Group defines a financial instrument as in default, which is fully aligned with the definition of credit-impaired, when it meets one or more of the following criteria:

- *Quantitative Criteria*. For trade receivables and all other financial assets subject to impairment, default occurs when the receivable becomes 90 days past due.

- *Qualitative Criteria*. The counterparty meets unlikeliness to pay criteria, which indicates the borrower is in significant financial difficulty. These are instances where:

  a. The counterparty is experiencing financial difficulty or is insolvent;

b. The counterparty is in breach of financial covenant(s);
c. An active market for that financial assets has disappeared because of financial difficulties;
d. Concessions have been granted by the Group, for economic or contractual reasons relating to the counterparty's financial difficulty;
e. It is becoming probable that the counterparty will enter bankruptcy or other financial reorganization; or
f. Financial assets are purchased or originated at a deep discount that reflects the incurred credit losses.

The criteria above have been applied to all financial instruments held by the Group and are consistent with the definition of default used for internal credit risk management purposes. The default definition has been applied consistently to the ECL models throughout the Group's expected loss calculation.

Incorporation of Forward-looking Information. The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. To do this, the Group has considered a range of relevant forward-looking macro-economic assumptions for the determination of unbiased general industry adjustments and any related specific industry adjustments that support the calculation of ECLs.

Based on the Group's evaluation and assessment and after taking into consideration external actual and forecast information, the Group considers two or more economic scenarios and the relative probabilities of each outcome. External information includes economic data and forecasts published by governmental bodies, monetary authorities and selected private-sector and academic institutions.

The Group has identified and documented key drivers of credit risk and credit losses of each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses. The Group considers macro-economic factors such as GDP growth rates and inflation rates of selected countries in its analysis.

Predicted relationship between the key indicators and default and loss rates on portfolios of financial assets have been developed based on analyzing historical data over the past 5 years. The methodologies and assumptions including any forecasts of future economic conditions are reviewed regularly.

The Group has not identified any uncertain event that is relevant to its assessment of the risk of default occurring on the financial instrument.

Determining the Stage for Impairment. At each reporting date, the Group assesses whether there has been a significant increase in credit risk for financial assets since initial recognition by comparing the risk of default occurring over the expected life between the reporting date and the date of initial recognition. The Group considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and forward-looking analysis.

Exposures that have not deteriorated significantly since origination, or where the deterioration remains within the Group's investment grade criteria are considered to have a low credit risk. The provision for credit losses for these financial assets is based on a 12-month ECL. The low credit risk exemption has been applied on debt investments that meet the investment grade criteria of the Group from the time of origination.

An exposure will migrate through the ECL stages as asset quality deteriorates. If, in a subsequent period, asset quality improves and also reverses any previously assessed significant increase in credit risk since origination, then the loss allowance measurement reverts from lifetime ECL to 12-months ECL.

Grouping of Instruments for Losses Measured on Collective Basis. For expected credit loss provisions modelled on a collective basis, a grouping of exposures is performed on the basis of shared risk characteristics, such that risk exposures within a group are homogeneous. In performing this grouping, there must be sufficient information for the Group to be statistically credible. Where sufficient information is not available internally, the Group has considered benchmarking internal/external supplementary data to use for modelling purposes. The characteristics and any supplementary data used to determine groupings are outlined below.

Trade receivables - Groupings for collective measurement:
a. Trading Participants
b. Listed Companies
c. Data Vendors

The following credit exposures are assessed individually:
- All Stage 3 assets, regardless of the class of financial assets
- The cash and cash equivalents, investment in debt securities and other long-term investments, and other financial assets

Write-off Policy. The financial exposures of the Group are written-off based on Management's decision of whether receivables from counterparties are still collectible or not.

Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously. The Group assesses that it has a currently enforceable right of offset if the right is not contingent on a future event, and is legally enforceable in the normal course of business, event of default, and event of insolvency or bankruptcy of the Group and all of the counterparties.

<u>Other Current Assets</u>
Other current assets include prepaid expenses which are expenses paid in advance and recorded as asset before they are utilized; restricted cash and short-term investments which relate to restricted cash in bank and short-term time deposits that are not available for use in operations; and security deposits, which are given to the lessor for the faithful compliance of all the Group's obligations under the lease contract and are refundable when the lease expires, which is expected to be within the next year. These are measured at cost.

<u>Value-added Tax (VAT)</u>
Revenue, expenses and assets are recognized, net of the amount of VAT. The net amount of VAT recoverable from, or payable to, the taxable authority is included as part of "Other current assets" or "Accounts payable and other current liabilities" accounts in the consolidated statement of financial position.

Property and Equipment
Property and equipment is stated at cost less accumulated depreciation and any impairment in value.

The initial cost of property and equipment comprises its purchase price and any directly attributable costs in bringing the asset to its working condition and location for its intended use. Expenditures incurred after the property and equipment have been put into operation, such as repairs and maintenance, are charged against current operations.

Depreciation is calculated using the straight-line method over the following estimated useful lives of the depreciable assets:

Buildings	25 years
Building improvements	10 years
Registry, depository and custody equipment	5 to 10 years
Trading and exchange system equipment	3 to 7 years
Leasehold improvements	5 years or lease term, whichever is lower
Computer hardware and peripherals	3 to 5 years
Transportation equipment	3 to 5 years
Office furniture, fixtures, communication equipment and others	2 to 5 years

The residual values, useful lives and methods of depreciation are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

Fully depreciated assets are retained in the accounts until these are no longer in use and no further depreciation is credited or charged to current operations.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset, calculated as the difference between the net disposal proceeds and the carrying amount of the asset, is included in the profit or loss in the year the asset is derecognized.

Construction in progress represents assets under construction and is stated at cost less any impairment in value. This includes the cost of construction and other direct costs. Construction in progress is not depreciated until such time that the relevant assets are completed and readily for use.

Investment Property
Investment property comprises of building and building improvements. Investment property is held by the Group for capital appreciation and/or rental income purposes. Investment property is measured initially at cost, including transaction costs, less accumulated depreciation and accumulated impairment in value. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met and excludes the costs of day-to-day servicing of an investment property.

Depreciation and amortization are calculated on a straight-line basis over the estimated useful life of 25 years.

The residual values, useful lives and methods of depreciation are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

Investment property is derecognized when disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the profit or loss in the year of retirement or disposal.

Transfers are made to (or from) investment property only when there is a change in use. For a transfer from investment property to owner occupied property, the deemed cost for subsequent accounting is the fair value at the date of change in use. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property and equipment up to the date of change in use.

Construction in progress classified under investment property are carried at cost and transferred to the related investment property account when the construction and related activities to prepare the property for its intended use are complete, and the property is ready for occupation. Construction-in-progress is not depreciated until such time that the relevant assets are completed and are ready for use.

Software and System Development Costs

Costs associated with developing or maintaining computer software programs are recognized as expense when incurred. Costs that are directly associated with identifiable and unique software controlled by the Group and will generate economic benefits exceeding costs beyond one year, are recognized as intangible assets.

Software and system development costs include cost of computer software and system development costs. These are measured on initial recognition at cost. Following initial recognition, computer software development costs are amortized using the straight-line method over their estimated useful life of five (5) to ten (10) years.

The amortization period and amortization method for computer software are reviewed at least at the end of each reporting period.

An intangible asset is derecognized upon disposal (i.e., at the date the recipient obtains control) or when no future economic benefits are expected from its use or disposal. Any gain or loss arising upon derecognition and asset is included in the profit or loss.

Business Combinations and Goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, which is measured at acquisition date fair value, and the amount of any non-controlling interests in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interests in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred and included in general and administrative expenses.

If the business combination is achieved in stages, the previously held equity interest is remeasured at its acquisition date fair value and any resulting gain or loss is recognized in profit or loss. The fair value of previously held equity interest is then included in the amount of total consideration transferred.

Goodwill is initially measured at cost (being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interests and any previous interest held over the net identifiable assets acquired and liabilities assumed). If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognized at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognized in profit or loss.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill has been allocated to a cash-generating unit (CGU) and part of the operation within that unit is disposed of, the goodwill associated with the disposed operation is included in the carrying amount of the operation when determining the gain or loss on disposal. Goodwill disposed in these circumstances is measured based on the relative values of the disposed operation and the portion of the cash-generating unit retained.

Investment in an Associate

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies.

The considerations made in determining significant influence are similar to those necessary to determine control over subsidiaries. The Group's investment in an associate is accounted for under the equity method.

Under the equity method, investment in an associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share in the net asset of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment individually.

Profit or loss reflects the Parent Company's share in the result of operations of the associate. Any change in OCI of those investees is presented as part of the Group's OCI. In addition, where there has been a change recognized directly in the equity of the associate, the Group recognizes its share in any changes and discloses this, when applicable, in the consolidated statement of comprehensive income.

The aggregate of the Group's share of profit or loss of an associate is shown on the face of the consolidated statement of comprehensive income outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate. If the Group's share of losses of an associate equals or exceeds its interest on the associate, the Group discontinues recognizing its share of further losses.

The financial statements of the associate are prepared for the same reporting date as the Group. The accounting policies of the associate conform to those used by the Group for like transactions and events in similar circumstances.

After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on its investment in its associate. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value, and then recognized the loss as part of "Equity in net income/loss of an associate" account in the consolidated statement of comprehensive income.

Non-controlling Interests
Non-controlling interests represent the portion of profit or loss and the net assets not owned directly or indirectly, by the Group and are presented separately in profit or loss and within equity in the consolidated statement of financial position, separately from equity attributable to the Parent Company. Any losses applicable to the non-controlling interests are allocated against the interests of the non-controlling interests even if this results in the non-controlling interests having a deficit balance. Acquisitions of non-controlling interests that do not result in a loss of control are accounted for as an equity transaction whereby the difference between the consideration and the fair value of the share of the net assets acquired is recognized as an equity transaction and attributed to the owners of the Parent Company.

Impairment of Nonfinancial Assets
The carrying values of property and equipment, investment property, right-of-use assets, computer software and investment in an associate are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable. If any such indication exists, and if the carrying values exceeds the estimated recoverable amounts, the assets are written down to their recoverable amounts. The recoverable amount of the asset is the greater of fair value less costs to sell or value in use. The fair value less costs to sell is the amount obtainable from the sale of an asset in an arm's-length transaction between knowledgeable, willing parties, less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognized in profit or loss in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment loss may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the profit or loss. After such a reversal, the depreciation or amortization charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Goodwill is tested for impairment annually as at December 31 and when circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of each CGU (or group of CGUs) to which the goodwill relates. When the recoverable amount of the CGU is less than its carrying amount, an impairment loss is recognized. Impairment losses relating to goodwill cannot be reversed in future periods.

Deferred Fees and Others
Deferred fees and others include deferred output VAT which is reported as output VAT upon collection of related receivable and fees for the "Bull Run" and other sponsorship events which are collected but not yet earned as at reporting date.

Capital Stock and Additional Paid-in Capital
Capital stock is measured at par value for all shares issued. Incremental costs incurred directly attributable to the issuance of new shares are shown in equity as a deduction from proceeds, net of tax. Proceeds and/or fair value of considerations received in excess of par value are recognized as additional paid-in capital.

Subscribed Capital Stock / Subscription Receivable
Subscribed shares are the shares of stock that will be issued upon completion of an installment purchase contract with an investor. Subscribed shares are presented net of subscription receivable.

Treasury Shares
The Parent Company's own equity instruments which are acquired (treasury shares) are deducted from equity and accounted for at cost. No gain or loss is recognized in the profit or loss on the purchase, sale, issue or cancellation of the Parent Company's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized in additional paid-in capital.

Retained Earnings
Retained earnings represent accumulated earnings, net of dividends declared and the cumulative effect of the retrospective application of change in accounting policy.

Donated Capital and Donation Income
Donations received, other than those contributions from equity participants, are recognized as income on the date of donation. Donations in kind are recognized at the fair value of asset received. Donated capital becomes available for dividend declaration when all conditions or restrictions are met such that the asset received will be for the exclusive use of the Exchange for at least a period of five (5) to ten (10) years from the date of the occupancy or turnover of the asset.

Dividends on Common Shares
Dividends on common shares are recognized as a liability and deducted from equity when approved by the BOD of the Parent Company. Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

Employee Stock Purchase Plan
All regular employees in good standing are eligible to purchase the Exchange's shares under the Employee Stock Purchase Plan (ESPP), subject to restrictions, terms and conditions provided in the ESPP. ESPP is considered an equity-settled transaction.

The cost of equity-settled transactions is measured by reference to the fair value at the date on which these are granted. The fair value is determined using the quoted market price at the time of payment.

The cost of equity-settled transactions is recognized with a corresponding increase in the equity, over the period in which the eligible employees fulfill the required contribution payments. The cumulative expense recognized for equity-settled transactions at each reporting date is measured as the difference of market price of the Exchange's shares at exercise date and the offer price. The amount reflected in the profit or loss represents the movement in cumulative expense recognized as at the beginning and end of the period.

Revenue Recognition
The following is a description of the principal activities separated by reportable segments from which the Group generates its revenue.

Listing-related revenues mainly pertain to fees from approved applications for Initial Public Offering (IPO) and additional listings in the PSE Main and Small, Medium and Emerging boards. The Exchange also recognizes annual fees for maintenance of listings which are directly affected by the change in number of shares and market price.

Listing-related Fees

PSE
Listing Fees. Filing or listing fees shall be paid in full upon filing of the applications for IPO and additional listings with the Exchange. The filing fees are non-refundable and are computed and billed based on (%) of market capitalization. Revenue is recognized using percentage of hours spent on the relevant activities of the departments performing the listing service upon listing and over the listed companies' average listing life of fifteen (15) years.

Listing Maintenance Fees. These are annual fee paid by listed customers based on percentage of market capitalization. Revenue is earned by means of providing ongoing market access and maintenance of the listing (for example, maintaining technology, regulatory oversight and general operation). Revenue is recognized over-time by spreading out through the year.

Processing Fees. These are non-refundable upfront fees paid to administer the requirements of the applying customer before the approval to listing. Revenue is recognized upon receipt of the payment and services are rendered on a period of 20-30 days. The Parent Company recognizes processing fees at point in time upon the receipt of payment from customers.

PDEX
Listing and Maintenance Fees. Listing fees, which include initial application fees and annual maintenance fees, pertain to fees earned for the maintenance of an admitted security in PDEX's Trading System Infrastructure (TSI), monitoring and publication of disclosures submissions, and monitoring trading activity on the admitted security.

Initial application fees are recognized as revenue on a straight-line basis over the term of the listed security while annual maintenance fees are billed on an annual basis and recognized as revenue on a straight-line basis over 12 months.

Depositary-related Fees

PDTC
Depository Securities Account Fees. These are fees charged to customers for the use of the depository infrastructure to maintain and process depository securities account. These fees are recognized on a daily basis.

Registry-maintenance Fees. These fees pertain to the maintenance of the official record of the list of registered holders or paperless or uncertificated fixed income or equity securities. These fees are recognized on a monthly basis.

Trading-related Fees

Trading related fees are revenues that are directly affected by the trading volume and transactions of the Group. These include Transaction/Block Sales, Data Feed and Subscription Fees.

Transaction Fees. These are the Exchange's revenues billed based on 0.005% of the peso value of the volume of the buying and selling of shares of stocks by Investors to Trading Participants/Brokers of the Parent Company. Revenue is recognized at point in time once the trading transaction is completed.

Transaction fees also includes PDEX's revenues charged to trading participants for trades executed under its Trading System Infrastructure. Dealers and Brokers are charged ₱25.00 per million of trade value, while Qualified Investors are charged ₱12.50 per million, both prorated if the remaining days to maturity are less than 365. For trades below ₱500,000 in volume, no fees are charged. Revenue is recognized when the performance obligation is satisfied at a point in time (i.e. as the service is rendered).

Data Feed Fees. This revenue account consists of subscription and data feed fees paid by the data feed customers for the access to market data other than those basic information posted in the Exchange's disclosure website. Revenue is recognized over time on a monthly basis.

Block Sales. This revenue pertains to income computed from 0.005% of the peso value of the volume of the block sale transactions. Block sales are pre-arranged stock transactions by and among the broker dealers' clients or among two brokers representing their clients whose trading transactions do not go below ₱20.0 million. Revenue is recognized at point in time once the block sale transaction is completed.

Subscription Fees. These are fees paid by the trading participants to allow them to transact in trading activities with the PSE through access in different PSE trading sites and facilities. Revenue is recognized over the period covered by the subscription.

Service-related Fees

Service fees are revenue from services provided by the subsidiaries (SCCP and CMIC). These include Settlement and Clearing Services from SCCP; Seminars and Management Services from CMIC.

Settlement and Clearing Fee. These are income from services provided to clearing members that includes risk management functions during the settlement and clearing process of any eligible trades. Revenue from these services is recognized at a point in time.

Custodial Fee. Revenue is recognized for custody and management of the funds of suspended trading participants as well as for services in the settlement of customer claims.

Audit Fee. Revenue is recognized for the conduct of monthly audit in the absence of an Associated Person. Revenue is recognized when the services are rendered.

Seminar Fee. These are income from seminars and trainings conducted for the trading participants. Revenue is recognized when services are rendered.

<u>Contract Balances</u>

- *Trade Receivables*. A receivable represents the Group's right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due).

- *Contract Assets*. A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Group performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognized for the earned consideration that is conditional.

- *Contract Liabilities*. A contract liability is the obligation to transfer goods or services to a customer for which the Group has received consideration or an amount of consideration is due from the customer. If a customer pays consideration before the Group transfers goods or services to the customer, a contract liability is recognized when the payment is made or the payment is due, whichever is earlier. If the revenue recognized which is determined based on average period of listing is lower than the amount collected as of date arising from the contract with the customer, a contract liability is recognized for the difference.

Interest Income. Revenue is recognized as the interest accrues, taking into account the effective yield of the asset.

Dividend Income. Dividend income is recognized when the Group's right to receive the dividend payment is established.

Expense Recognition

Expenses are recognized in the profit or loss when a decrease in future economic benefit related to a decrease in an asset or an increase in a liability has arisen that can be measured reliably. Expenses are recognized in the profit or loss on the basis of a direct association between the costs incurred and the earning of specific items of income; on the basis of systematic and rational allocation procedures when economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined; or immediately when an expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify, cease to qualify, for recognition in the consolidated statements of financial position as an asset.

Costs of Services. Costs of services constitute expenses that arise in the course of the ordinary activities of the Group and recognized as expenses once incurred. These normally include costs related to the performance and delivery of services to customers.

General and Administrative Expenses. General and administrative expenses constitute costs of administering the business and are recognized as expenses once incurred.

Pension and Other Post-employment Benefits

The Parent Company and PDSHC have funded noncontributory defined benefit retirement plans while SCCP has unfunded noncontributory defined benefit retirement plan. CMIC does not have an established retirement plan and only conforms to the minimum regulatory benefit under the Retirement Pay Law (RA 7641). The retirement funds of the Parent Company and PDSHC are being administered by its trustees. The Group's retirement cost is actuarially determined using the projected unit credit method. This method reflects services rendered by employees to the date of valuation and incorporates assumptions concerning employees' projected salaries.

Defined Benefit Plan. The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting date reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

Defined benefit costs comprise the following:

- Service cost;
- Net interest on the net defined benefit liability or asset; and
- Remeasurements of net defined benefit liability or asset.

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in OCI in the period in which these arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund. Plan assets are not available to the creditors of the Group, nor can these be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Profit Sharing and Bonus Plans. The Group recognizes a liability and an expense for bonuses and profit-sharing based on a formula that takes into consideration the profit attributable to the Parent Company's shareholders after certain adjustments. The Group recognizes a provision where it is contractually obliged to pay the benefits, or where there is a past practice that has created a constructive obligation.

Employee Leave Entitlements. Compensated absences are recognized for the number of paid leave days (including holiday entitlement) remaining at the end of the reporting date. These are included in "Accounts payable and other current liabilities" account in the consolidated statement of financial position at the undiscounted amount that the Group expects to settle within one year from the end of the reporting date. The liability for entitlements expected to be settled beyond one year after the end of the reporting date are recognized under "Pension liability and others" account in the consolidated statement of financial position and measured at the present value of the benefit as at the end of the reporting date.

Termination Benefits. Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognizes termination benefits at the earlier of when it can no longer withdraw the offer of such benefits and when it recognizes costs for a restructuring that is within the scope of PAS 37, *Provisions, Contingent Liabilities and Contingent Assets* and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the reporting date are discounted to their present value.

<u>Leases</u>
The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a Lessee. The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

- *Right-of-use Assets.* The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received and estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms and conditions of the lease. Unless the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term as follows:

Data recovery sites	3 to 5 years
Office and parking spaces	5 to 6 years
Transportation equipment	5 years

  Right-of-use assets are subject to impairment. Refer to the accounting policies in the section on impairment of nonfinancial assets.

- *Lease Liabilities.* At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. Variable payments that do not depend on an index or a rate are recognized as expense in the period in which the event or condition that triggers the payment occurs.

  In calculating the present value of lease payments, the Group uses its IBR at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

Group as a Lessor. Leases where the Exchange does not transfer to the lessee substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Lease income arising is accounted for on a straight-line basis over the lease terms and are recognized as revenue in the statement of comprehensive income due to its operating nature.

<u>Income Taxes</u>

Current Income Tax. Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at reporting date.

Deferred Income Tax. Deferred tax is provided, using the balance sheet liability method, on all temporary differences at reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from excess minimum corporate income tax (MCIT) over regular corporate income tax (RCIT) and net operating loss carry over (NOLCO), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carryforward benefits of excess of MCIT over the RCIT and NOLCO can be utilized, except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

Deferred income tax liabilities are recognized for all taxable temporary differences, except:

- Where the deferred income tax liability arises from the initial recognition of goodwill of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax liabilities are not provided on nontaxable temporary differences associated with investment in subsidiaries.

Deferred tax assets and liabilities are measured at the tax rate applicable to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and deferred taxes related to the same taxable entity and the same taxation authority.

Income tax relating to OCI is recognized in OCI section of the consolidated statement of comprehensive income.

Foreign Currency-denominated Transactions
Transactions in foreign currencies are recorded using the exchange rate at the date of the transactions. Foreign exchange gains or losses arising from foreign currency-denominated transactions and revaluation adjustments of foreign currency-denominated assets and liabilities are credited to or charged against current operations. Monetary assets and liabilities denominated in foreign currencies are translated using the closing rate prevailing at reporting date. All differences are taken to profit or loss. For income tax purposes, foreign exchange gains and losses are treated as taxable income or deductible expenses when realized.

Earnings Per Share (EPS)
Basic EPS is calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of common shares outstanding during the year, with retroactive adjustments for any stock dividends declared, if any.

Diluted EPS is calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of common shares outstanding during the year, adjusted for the effects of potential dilutive shares. Stocks under the ESPP are deemed to have been converted into shares on the date of grant.

Operating Segments
For management purpose, the Group is organized and managed under a single business segment, the equity, clearing and settlement business in 2023. Upon acquisition of additional interest in PDSHC in December 2024, the Group has two business segments which are the equity, clearing and settlement business and depository and fixed income business. These are the basis upon which the Parent Company reports its primary segment information.

Provisions
Provisions are recognized when the Group has a present obligation (legal or constructive) where, as a result of a past event, it is probable that an outflow of assets embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as interest expense. Where the Group expects a provision to be reimbursed, the reimbursement is recognized as a separate asset but only when the receipt of the reimbursement is virtually certain.

Contingencies
Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed in the notes to the consolidated financial statements unless the possibility of an outflow of assets embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but are disclosed in the notes to the consolidated financial statement when an inflow of economic benefits is probable.

Events after the Reporting Period
Post-year-end events that provide additional information about the Group's financial position at the end of the reporting period (adjusting events) are reflected in the consolidated financial statements. Post-year-end events that are not adjusting events, are disclosed in the notes to the consolidated financial statement when material.

4. **Significant Accounting Judgments, Estimates and Assumptions**

The preparation of the consolidated financial statements in accordance with PFRS Accounting Standards requires the Group to make judgments, estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses and disclosure of contingent assets and contingent liabilities, at the end of the reporting date. Future events may occur which will cause the assumptions used in arriving at the estimates to change. The effects of any change in estimates are reflected in the consolidated financial statements as these become reasonably determinable.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be determinable under the circumstances.

Judgments
In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimates and assumptions, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Identifying Performance Obligation for Listing Services. The Exchange provides listing services for approved applications for IPO and additional listings in the PSE Main and Small, Medium and Emerging boards. The Exchange determines that there is one performance obligation in the contract which is the service of being listed in the PSE.

Determination of Lease Term of Contracts with Renewal Options - The Group as a Lessee. The Group has lease contracts that include renewal options and termination options. The Group applies judgment in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate.

The Group included the renewal period of one (1) year as part of the lease term for leases of data recovery sites with shorter non-cancellable period (i.e., 3 to 5 years). The Group typically exercises its option to renew for these leases because there will be a significant negative effect on operations if a replacement asset is not readily available.

Estimates and Assumptions
The key estimates and assumptions concerning the future and other key sources of estimation uncertainty at reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions when these occur.

Estimation of Service Period and Determination of the Timing of Revenue Recognition for Listing Services. The Exchange applies judgment and estimates on the identification and timing of satisfaction of performance obligations. The Exchange determines the service period and percentage of services rendered using historical analysis of listing durations and experience. Listing-related fees are recognized using percentage of hours spent on the relevant activities of the departments performing the listing service upon listing and over the listed companies' average listing life of fifteen (15) years. The estimated service period is reassessed periodically to properly reflect the Exchange's best estimate. The percentage of services rendered are reassessed no later than five years or anytime wherein significant changes would warrant such reassessment to properly reflect the Exchange's best estimate.

Revenue from listing filing fees amounted to ₱372.11 million, ₱294.44 million and ₱314.21 million for the years ended December 31, 2025, 2024 and 2023, respectively (see Note 23).

Leases - Estimating the IBR. The Group cannot readily determine the interest in the lease, therefore, it uses its IBR to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available (such as for entities that do not enter into financing transactions) or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates (such as the entity's stand-alone credit rating).

The Group's lease liabilities amounted to ₱94.59 million and ₱109.41 million as at December 31, 2025 and 2024, respectively (see Note 29).

Impairment of Financial Assets at FVOCI. The Group takes into consideration the Group's historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment in assessing the impairment of its financial assets at FVOCI. For debt financial assets at FVOCI, the Group has applied the General Approach and has calculated ECL based on either the 12-month ECL or lifetime ECL, if SICR is established.

There were no provisions for impairment losses on the financial assets at FVOCI for the years ended December 31, 2025, 2024 and 2023. The total carrying values of the financial assets at FVOCI amounted to ₱924.31 million and ₱1,103.49 million as at December 31, 2025 and 2024, respectively (see Note 9).

Impairment of Receivables. Allowance for doubtful accounts is maintained at a level considered adequate to provide for potentially uncollectible receivables. The level of allowance is based on the Group's historical credit loss experience and forward-looking factors specific to the debtors and the economic environment that may affect collectability. The Group applies the simplified approach designed to identify potential uncollectible receivables and is performed on a continuous basis throughout the period.

There were no provisions for impairment of receivables for the years ended December 31, 2025, 2024 and 2023. The carrying values of receivables amounted to ₱318.79 million and ₱258.51 million as at December 31, 2025 and 2024, respectively (see Note 11).

Recoverability of Property and Equipment, Investment Property, Right-of-use Assets and Software and System Development Costs. The Group performs impairment review of property and equipment, investment property, right-of-use assets and software and system development costs when certain impairment indicators are present. Determining the fair value of assets, which requires the determination of future cash flows expected to be generated from the continued use and ultimate disposition of such assets, requires the Group to make estimates and assumptions that can materially affect the consolidated financial statements. Future events could cause the Group to conclude that the assets are impaired. Any resulting impairment loss could have a material adverse impact on the Group's financial position and performance.

There were no provisions for impairment of property and equipment, investment property, right-of-use assets and software and system development costs for the years ended December 31, 2025, 2024 and 2023 (see Notes 13, 14, 17 and 29).

The carrying values of property and equipment, investment property, right-of-use assets and software and system development costs as at December 31 are as follows:

	2025	2024
Property and equipment (see Note 13)	**₱1,173,226,576**	₱1,173,556,325
Investment property (see Note 14)	**122,398,929**	128,335,393
Right-of-use assets (see Note 29)	**85,053,541**	100,930,127
Software and system development costs (see Note 17)	**24,053,450**	43,999,566

Recoverability of Goodwill. Goodwill is tested for impairment annually and when circumstances indicate that the carrying value may be impaired. Impairment is determined for goodwill by assessing the recoverable amount of each CGU, or group of CGUs, to which the goodwill relates. When the recoverable amount of the CGU, or group of CGUs, is less than the carrying amount of the CGU, or group of CGUs, to which goodwill has been allocated, an impairment loss is recognized. Impairment losses relating to goodwill cannot be reversed in future periods. There were no provisions for impairment of goodwill for the year ended December 31, 2025. The carrying value of goodwill amounted to ₱1,230.90 million as at December 31, 2025 and 2024 (see Note 15).

Estimation of Useful Lives of Property and Equipment, Software and System Development Costs and Investment Property. The Group estimated the useful lives of its property and equipment, software and system development costs and investment property based on the period over which the assets are expected to be available for use. The Group reviews annually the estimated useful lives based on factors that include asset utilization, internal technical evaluation, technological changes, and anticipated use of the assets. A reduction in the estimated useful lives of property and equipment, computer software and investment property would increase the recorded depreciation and amortization expense and decrease the related assets.

There were no changes in the estimated useful lives of the Group's property and equipment, software and system development costs and investment property as at December 31, 2025 and 2024.

Contingencies. The Group is currently involved in various legal proceedings. The estimate of the probable costs for the resolution of these proceedings has been developed in consultation with in-house as well as outside legal counsel handling defense in these matters and is based upon an analysis of potential results. The Group currently does not believe that these proceedings will have a material adverse effect on its consolidated financial position and performance. It is possible, however, that future consolidated financial performance could be materially affected by changes in the estimates or in the effectiveness of strategies relating to these proceedings. No provisions were made in relation to these proceedings.

Present Value of Pension and Other Employee Benefits. The present value of the pension obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost for pensions include discount rate and rate of salary increase.

The Group determines the appropriate discount rate at the end of each year. It is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. Other key assumptions for pension obligations are based in part on current market conditions. While it is believed that the Group's assumptions are reasonable and appropriate, significant differences in actual experience or significant changes in assumptions may materially affect the Group's pension obligations.

Employee leave entitlements that are expected to be settled within one year from reporting date is included in “Accounts payable and other current liabilities” account in the consolidated statement of financial position. Otherwise, this is included in “Pension liability and others” account in the consolidated statement of financial position.

The amounts of post-employment benefit obligation and expense and an analysis of the movements in the estimated present value of post-employment benefit obligation, as well as the significant assumptions in estimating such obligation.

Pension liability and others amounted to ₱52.56 million and ₱54.28 million as at December 31, 2025 and 2024, respectively (see Note 31).

Recognition of Deferred Tax Assets. The carrying amount of deferred tax assets is reviewed at each reporting date. Deferred tax assets are recognized for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. The forecasted availability of taxable profit is based on past results and future expectations on revenue and expenses. Significant management judgment is required to determine the amount of deferred income tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

As at December 31, 2025 and 2024, the Parent Company, CMIC and PDSHC recognized total deferred tax assets amounting to ₱357.82 million and ₱347.80 million, respectively. SCCP’s net deferred tax asset, which were not recognized due to the use of the OSD method amounted to ₱3.65 million and ₱3.36 million as at December 31, 2025 and 2024, respectively. Premier’s unrecognized net deferred tax assets amounted to ₱7.73 million and ₱5.98 million as at December 31, 2025 and 2024, respectively (see Note 30).

5. Financial Risk Management Objectives and Policies

The Group’s principal financial instruments consist of cash and cash equivalents, short-term investments, financial assets at FVTPL, FVOCI and amortized costs. The main purpose of these financial instruments is to raise finances for the Group’s operations. The Group has other financial assets and liabilities such as receivables, refundable security deposits, deposits in bank, claims under litigation, accounts payable and other current liabilities (excluding payable to government agencies), loans payable and lease liabilities, which arise directly from its operations. It is the Group’s policy not to directly engage in the trading of financial instruments.

On May 29, 2006, SCCP launched its clearing and settlement system, called Central Clearing and Central Settlement (CCCS) system. Since the CCCS system adopts a multilateral netting system where trades are novated and the original parties to the contracts disappear, SCCP now stands as the Central Counterparty to all trades transacted in the Exchange. By being a Central Counterparty to all trades and as a clearing house, SCCP is exposed to several operational and settlement risks. Operational risks directly affect SCCP’s financial investments given the fact that the CTGF is intended to be used to settle failed trades.

In the clearing and settlement operations of SCCP, it is also exposed to other risks such as counterparty risk, price fluctuation risk, principal risk and systemic risk. Counterparty risk is the risk that a counterparty to a trade will not be able to settle an obligation covering its full value either on scheduled settlement day or at any time thereafter. Price fluctuation or replacement cost risk is the risk that a default will leave the solvent party with an unsettled position which it will need to replace, perhaps at a cost less favorable than the original contract, or with an open position, with gains that cannot be realized. Principal risk is the risk that a solvent partner, whether the seller or the buyer, may have delivered securities or made payment to the defaulting party without having received value in exchange. Systemic risk is the risk that the default or failure by a counterparty to settle its obligations with another could lead to other counterparties being unable to meet their own obligations.

In answer to counterparty risk, SCCP has established criteria for a trading participant to be accepted as a Clearing Member. SCCP's clearing and settlement process adopts a Delivery Versus Payment (DVP) mode of settlement to cover both principal and systemic risks inherent in the clearing and settlement of trades. The DVP method ensures the delivery by the clearing member of its securities obligation prior to receiving payment or the payment of good, cleared funds prior to receipt of securities bought. Other risk mitigating measures performed by SCCP include monitoring large concentrations by a few members on a single issue and bringing this to the attention of Capital Markets Integrity Corporation, the regulator and market monitoring subsidiary of the Exchange, for further review and proper action. SCCP monitors closely whether each clearing member is adequately capitalized to meet its daily average netted obligations. SCCP likewise monitors the trades of its clearing members on a daily basis and identifies the clearing members who exhibit highly unusual and above-normal levels of settlement obligations for the purpose of monitoring their delivery of their cash and securities obligations on or before the settlement deadline.

To address price fluctuation risk, a daily Mark-to-Market Collateral Deposit system is in place and is strictly observed. Only cash and securities which comprise the Philippine Stock Exchange Index are eligible as collateral, including PSE shares. Effective November 14, 2008, SCCP imposed a 20% haircut on the securities submitted to SCCP as collateral to cover the clearing members' negative exposures. The collateral haircut serves as a buffer of value against any price change on the securities collateral delivered by the clearing members. Clearing Members may also do an early delivery of the securities which caused the negative exposure.

During its meeting held on December 13, 2022, the Securities and Exchange Commission "SEC" approved SCCP's proposed amendments to Rule 8.1.8 on Acceptable Collateral Deposits which provides that securities comprising the PSEi, the PSE MidCap Index, the PSE Dividend Yield Index and the PSE shares are eligible securities collateral in SCCP's Mark-to-Market Collateral Deposit ("MMCD") system. Furthermore, the SEC approved the increase in haircut on securities collateral that belong to the PSEi, the PSE Midcap Index and the PSE Dividend Yield from 20% to 25%, and the increase in haircut on PSE shares from 20% to 35%.

On March 27, 2023, SCCP successfully transitioned to its new clearing and settlement system, the Millennium Post Trade solution. The Millennium Clearing and Millennium Risk products are provided by the LSEG Technology, a subsidiary of the London Stock Exchange Group. The shift to the new Clearing and Settlement System (C&S) has enhanced SCCP's clearing, settlement, risk and collateral management capabilities, ensuring improved services to its clearing members.

The new C&S system can accommodate any settlement cycle, unlike the previous system which was hardcoded with settlement cycle T+3. It can also accommodate multi-currency assets and is capable of settling two trade dates in a single settlement date. The new C&S system is capable of being connected directly to the PSE trading engine, which will make real time marking to market possible in the future, and uses ISO 20022 standards for its payments and securities messaging. With its new C&S System, SCCP has been able to release the cash and securities entitlements of its clearing members at a much earlier time. In turn, its clearing members are able to release the cash and securities entitlements to their end investors earlier.

On August 24, 2023, SCCP successfully migrated to the shortened settlement cycle of T+2. Aside from SCCP, other market participants, including stockbrokers, custodian banks, the Philippine Depository & Trust Corp, stock transfer agents, the Exchange's Issuer Regulation Division and the Capital Markets Integrity Corporation took part in working group discussions organized by SCCP, readiness activities and testing sessions over a five-month period to ensure that the market was ready for a T+2 settlement cycle.

Shortening the settlement cycle is expected to yield benefits for our industry and market participants, including reduced credit and counterparty risk, operational process improvements, cash deployment efficiencies, increased market liquidity and lower collateral requirements. Finally, shortening the settlement cycle has aligned the Philippine settlement cycle with major international markets including the U.S., Europe, Canada, Australia, Japan, Hong Kong and other major markets in the Asia-Pacific region.

The main risks arising from the Group's financial instruments are liquidity risk, credit risk, equity price risk, interest rate risk and foreign currency risk. The Group's BOD, management and the Corporate Governance Officer review and agree on the policies of managing each of these risks as summarized below.

Liquidity Risk
Liquidity risk is the risk that an entity will encounter difficulty in raising funds to meet commitments associated with the financial instruments. Liquidity risk may result from the inability to sell financial assets quickly at their fair values.

The Group seeks to manage its liquidity profile to be able to service its maturing liabilities and to finance capital requirements. The Group maintains a level of cash and cash equivalents deemed sufficient to finance operations. As part of its liquidity risk management, the Group regularly evaluates its projected and actual cash flows. To meet the requirement for liquidity, adequate cash flow is provided for administrative operating expenditures and capital expenses based on projected funding requirements. All excess funds are invested in an organized investment mix of short-term and long-term investments to achieve maximum returns.

The tables below summarize the maturity profile of the financial assets held for liquidity purposes and financial liabilities based on remaining contractual undiscounted payments.

	As at December 31, 2025				
	Within a Year	1–2 Years	More than Two Years	No Maturity Date	Total
Financial Assets					
Financial assets at amortized cost:					
Cash and cash equivalents	**₱1,351,896,667**	**₱–**	**₱–**	**₱105,000**	**₱1,352,001,667**
Short-term investments	**127,919,604**	–	–	–	**127,919,604**
Receivables:					
Receivables from:					
Trading participants	**219,691,753**	–	–	–	**219,691,753**
Data vendors	**24,808,086**	–	–	–	**24,808,086**
Listed companies	**25,252,646**	–	–	–	**25,252,646**
Accrued interest receivable	**13,878,774**	–	–	–	**13,878,774**
Receivable from other fund members	**4,710,771**	–	–	–	**4,710,771**
Others	**18,332,934**	–	–	–	**18,332,934**
Government securities	**1,139,719,420**	–	–	–	**1,139,719,420**
Corporate debt securities	**751,427**	**677,791**	**2,703,754**	–	**4,132,972**
Current security deposit	**1,605,501**	–	–	–	**1,605,501**

(Forward)

	As at December 31, 2025				
	Within a Year	**1–2 Years**	**More than Two Years**	**No Maturity Date**	**Total**
Other noncurrent assets:					
Claims under litigation	**₱–**	**₱–**	**₱51,166,892**	**₱–**	**₱51,166,892**
Due from Equitiworld Securities, Inc.	**–**	**–**	**35,253,863**	**–**	**35,253,863**
Refundable security deposits	**–**	**–**	**6,777,459**	**–**	**6,777,459**
Deposit in bank	**–**	**–**	**345,284**	**–**	**345,284**
Financial assets at FVTPL:					
Quoted equity securities	**1,168,832,781**	**–**	**–**	**5,000,000**	**1,173,832,781**
Money market funds	**83,364,279**	**–**	**–**	**–**	**83,364,279**
Government debt securities	**1,359,805**	**–**	**–**	**–**	**1,359,805**
Financial assets at FVOCI:					
Government debt securities -*					
Short-term	**228,570,532**	**–**	**–**	**–**	**228,570,532**
Long-term	**–**	**157,182,787**	**445,311,294**	**–**	**602,494,081**
Corporate bonds:*					
Short-term	**–**	**–**	**–**	**–**	**–**
Long-term	**–**	**45,370,200**	**47,879,800**	**–**	**93,250,000**
	₱4,410,694,980	**₱203,230,778**	**₱589,438,346**	**₱5,105,000**	**₱5,208,469,104**
Financial Liabilities					
Financial liabilities at amortized cost					
Loans payable*	**(₱144,945,038)**	**(₱139,285,239)**	**(₱905,186,930)**	**–**	**(₱1,189,417,207)**
Other financial liabilities:					
Accounts payable and other current liabilities:					
Trade payables	**(97,311,707)**	**–**	**–**	**–**	**(97,311,707)**
Due to SEC	**(97,149,814)**	**–**	**–**	**–**	**(97,149,814)**
Accrued expenses**	**(124,771,845)**	**–**	**–**	**–**	**(124,771,845)**
Dividend payable	**(102,627,654)**	**–**	**–**	**–**	**(102,627,654)**
Others***	**(335,814,022)**	**–**	**–**	**–**	**(335,814,022)**
Lease liabilities	**(45,470,510)**	**(48,898,094)**	**(32,790,742)**	**–**	**(127,159,346)**
	(₱948,090,590)	**(₱188,183,333)**	**(₱937,977,672)**	**₱–**	**(₱2,074,251,595)**

**Including interest.*
***Excluding accrued taxes amounting to ₱20.67 million.*
****Excluding advances from employees ₱0.05 million*

	As at December 31, 2024				
	Within a Year	1–2 Years	More than Two Years	No Maturity Date	Total
Financial Assets					
Financial assets at amortized cost:					
Cash and cash equivalents	₱1,891,596,452	₱–	₱–	₱105,000	₱1,891,701,452
Receivables:					
Receivables from:					
Trading participants	144,235,502	–	–	–	144,235,502
Data vendors	34,850,084	–	–	–	34,850,084
Listed companies	31,514,729	–	–	–	31,514,729
Accrued interest receivable	12,994,938	–	–	–	12,994,938
Receivable from other fund members	9,699,589	–	–	–	9,699,589
Government securities	675,756,265	–	–	–	675,756,265
Corporate debt securities	5,752,180	–	–	–	5,752,180
Others	8,521,166	–	–	–	8,521,166
Current security deposit	2,561,681	–	–	–	2,561,681
Other noncurrent assets:					
Refundable security deposits	–	–	4,953	–	4,953
Claims under litigation	–	–	51,166,892	–	51,166,892
Deposit in bank	–	–	6,174,410	–	6,174,410
Financial assets at FVTPL:					
Quoted equity securities	1,143,691,864	–	–	4,000,000	1,147,691,864
Money market funds	80,100,650	–	–	–	80,100,650
Government debt securities	1,346,790	–	–	–	1,346,790

(Forward)

	As at December 31, 2024				
	Within a Year	1–2 Years	More than Two Years	No Maturity Date	Total
Financial assets at FVOCI:					
Government debt securities -*					
Short-term	₱195,845,623	₱–	₱–	₱–	₱195,845,623
Long-term	–	157,619,282	636,930,477	–	794,549,759
Corporate bonds:*					
Short-term	–	–	–	–	–
Long-term	–	19,230,849	93,859,151	–	113,090,000
	₱4,238,467,513	₱176,850,131	₱788,135,883	₱4,105,000	₱5,207,558,527
Financial Liabilities					
Other financial liabilities:					
Accounts payable and other current liabilities:					
Trade payables	(₱139,606,394)	₱–	₱–	₱–	(₱139,606,394)
Due to SEC	(74,083,688)	–	–	–	(74,083,688)
Accrued expenses**	(99,495,464)	–	–	–	(99,495,464)
Dividends payable	(90,175,488)	–	–	–	(90,175,488)
Others	(50,381,699)	–	–	–	(50,381,699)
Lease liabilities	(45,470,510)	(48,898,094)	(32,790,742)	–	(127,159,346)
	(₱499,213,243)	(₱48,898,094)	(₱32,790,742)	₱–	(₱580,902,079)

**Including interest.*
***Excluding accrued taxes amounting to ₱21.80 million*
****Excluding advances from employees ₱0.05 million*

Credit Risk

Credit risk refers to the potential loss arising from any failure by the Group's counterparties to fulfill their contractual obligations, as and when they fall due. The Group's credit exposure arises mainly from receivables from trading participants on clearing related services for securities transactions, membership fees and other fees, receivable from listed companies on listing maintenance fees and receivable from market data vendors for data feed charges. To minimize credit risk, the Group monitors the financial health of clearing participants and takes note of participants with potential default.

The credit risk of the Group's financial assets arises from default of the counterparty with maximum exposure equal to the carrying amounts of these financial instruments. The fair values of these financial instruments are disclosed in Note 6.

Credit Quality of Financial Assets

The credit quality of financial assets is grouped according to stage whose description is explained as follows:

Stage 1 - those that are considered current and up to 30 days past due, and based on change in rating, delinquencies and payment history, do not demonstrate significant increase in credit risk.

Stage 2 - those that, based on change in rating, delinquencies and payment history, demonstrate significant increase in credit risk, and/or are considered more than 30 days past due but does not demonstrate objective evidence of impairment as of reporting date.

Stage 3 - those that are considered in default or demonstrate objective evidence of impairment as of reporting date.

	As at December 31, 2025			
	ECL Staging			
	Stage 1	**Stage 2**	**Stage 3**	
	12-month-ECL	**Lifetime ECL**	**Lifetime ECL**	**Total**
Financial assets at amortized cost:				
Cash and cash equivalents*	**₱1,351,896,667**	**₱–**	**₱–**	**₱1,351,896,667**
Short-term investments	**127,919,604**			**127,919,604**
Receivables:				
Receivables from:				
Trading participants	**218,755,782**	**183,040**	**752,931**	**219,691,753**
Listed companies	**18,105,644**	**2,135,028**	**5,011,974**	**25,252,646**
Data vendors	**4,209,249**	**11,706,456**	**8,892,381**	**24,808,086**
Accrued interest receivable	**7,305,606**	**6,573,168**	**–**	**13,878,774**
Receivable from other fund members	**–**	**4,710,771**	**–**	**4,710,771**
Others	**18,332,934**	**–**	**–**	**18,332,934**
Government debt securities	**1,139,719,420**	**–**	**–**	**1,139,719,420**
Corporate debt securities	**4,132,972**	**–**	**–**	**4,132,972**
Current security deposit	**1,605,501**	**–**	**–**	**1,605,501**
Other noncurrent assets:				
Claims under litigation	**–**	**51,166,892**	**–**	**51,166,892**
Due from Equitiworld Securities, Inc.	**–**	**35,253,863**	**–**	**35,253,863**
Refundable security deposits	**–**	**6,777,459**	**–**	**6,777,459**
Deposits in bank	**–**	**345,284**	**–**	**345,284**
Financial assets at FVOCI:				
Government debt securities:				
Short-term	**228,570,532**	**–**	**–**	**228,570,532**
Long-term	**602,494,081**	**–**	**–**	**602,494,081**
Corporate bonds:				
Short-term	**–**	**–**	**–**	**–**
Long-term	**93,250,000**	**–**	**–**	**93,250,000**
	₱3,816,297,992	**₱118,851,961**	**₱14,657,286**	**₱3,949,807,239**

**Excluding cash on hand amounting to ₱0.11 million.*

	As at December 31, 2024			
	ECL Staging			
	Stage 1	Stage 2	Stage 3	
	12-month-ECL	Lifetime ECL	Lifetime ECL	Total
Financial assets at amortized cost:				
Cash and cash equivalents*	₱1,891,596,452	₱–	₱–	₱1,891,596,452
Receivables:				
Receivables from:				
Trading participants	128,329,226	15,612,209	294,067	144,235,502
Listed companies	3,470,700	12,229,814	19,149,570	34,850,084
Data vendors	25,729,038	2,761,091	3,024,600	31,514,729
Accrued interest receivable	4,455,098	8,539,840	–	12,994,938
Receivable from other fund members	–	9,699,589	–	9,699,589
Others	8,521,166	–	–	8,521,166
Government debt securities	675,756,265	–	–	675,756,265
Corporate debt securities	5,752,180	–	–	5,752,180
Other current assets	2,561,681	–	–	2,561,681
Other noncurrent assets:				
Claims under litigation	–	51,166,892	–	51,166,892
Refundable security deposits	–	4,953	–	4,953
Deposits in bank	–	6,174,410	–	6,174,410
Financial assets at FVOCI:				
Government debt securities:				
Short-term	195,845,623	–	–	195,845,623
Long-term	794,549,759	–	–	794,549,759
Corporate bonds:				
Short-term	–	–	–	–
Long-term	113,090,000	–	–	113,090,000
	₱3,849,657,188	₱106,188,798	₱22,468,237	₱3,978,314,223

**Excluding cash on hand amounting to ₱0.21 million.*

The Group does not have any significant exposure to any individual customer or counterparty nor does it have any major concentration of credit risk related to any financial instrument.

In the selection of investment, capital preservation is the primary consideration of the Group. With this objective, funds are basically invested in government bonds and securities and duly registered with the Registry of Scripless Securities under the name of the Group.

The Head of Finance is responsible for the identification of investments that provide a relatively stable rate of return and endorses it to the Treasurer or President for approval. The Group is guided by a BOD who approved investment policy guidelines. Any exemption to the set policy is subject to the approval of the BOD. The Investments Committee assists the BOD in fulfilling its oversight responsibilities over the investment portfolio of the Exchange and investment activities of management.

Market Risk

The Group's market risk (the risk of loss to future earnings, to fair values or to future cash flows that may result from changes in market variables) originates from its holdings of debt and equity securities. The value of a financial instrument may change as a result of changes in equity price, interest rates, foreign currency exchanges rates and other market changes.

Equity Price Risk. The Group's exposure to equity price pertains to its investments in quoted equity shares which are classified under financial assets at FVTPL on the consolidated statements of financial position. Equity price risk arises from the changes in the levels of equity indices and the value of individual stocks traded in the stock exchange.

The Group's policy is to maintain the risk to an acceptable level by monitoring regularly the movement of share prices to determine the impact on its financial position.

The effect on profit or loss (as a result of change in fair value of financial assets at FVTPL as at December 31, 2025 and 2024) due to a possible change in equity indices, based on historical trend, with all other variables held constant is as follows:

	Change in Equity Price	**Effect on Profit or Loss/Equity**
	(In Millions)	
2025	**+0.81%**	**₱6.35**
	-0.81%	**(6.35)**
2024	+1.21%	₱10.60
	-1.21%	(10.60)

As at December 31, 2025 and 2024, the Group's exposure to equity price risk arising from equity securities investments is minimal.

Fair Value Interest Rate Risk. The Group follows a prudent policy on managing its assets and liabilities so as to ensure that exposure to fluctuations in interest rates are kept within acceptable limits. There are no floating rate financial assets and financial liabilities. Term deposits with banks and debt securities carry fixed rates throughout the period of deposit or placement.

The table below sets forth the sensitivity to a reasonable possible change in interest rates with all other variables held constant, of the Group's equity (through the impact on unrealized gain/loss on fixed rate debt financial assets at FVOCI).

	Effect on Equity	
	2025	2024
	(In Millions)	
Increase (decrease) in interest rates:		
+70 basis points	**(₱11.70)**	(₱12.45)
-70 basis points	**11.97**	12.83

Foreign Currency Risk. Foreign currency risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in foreign currency exchange rates. The Group's exposure to foreign currency risks arise primarily from US dollar transactions, mostly from cash and cash equivalents and receivables.

The Group's policy is to maintain foreign currency exposure within acceptable limits. The Group believes that its profile of foreign currency exposure on its assets and liabilities is within conservative limits.

The following table summarizes the exposure to foreign currency exchange risk as at December 31, 2025 and 2024:

	2025		2024	
	In USD	**In Php**	In USD	In Php
Financial assets:				
Financial assets at FVTPL	**$5,536,390**	**₱325,484,369**	$5,096,266	₱294,793,489
Cash and cash equivalents	**1,601,006**	**94,123,127**	1,097,538	63,487,073
Short-term investments	**1,154,346**	**67,863,978**	–	–
Receivables	**590,140**	**34,694,352**	629,059	36,387,918
	$8,881,882	**₱522,165,826**	$6,822,863	₱394,668,480

In translating the foreign currency-denominated monetary assets and liabilities into Philippine peso amounts, the exchange rate used was ₱58.79 to US$1.00 and ₱57.845 to US$1.00, the Philippine peso to U.S. Dollar exchange rate as at December 31, 2025 and 2024, respectively.

The table below indicates the effect of increase or decrease in US dollar exchange rate on income before income tax to which the Group has substantial exposures on its financial assets. The result calculates the effect of a reasonably possible change in the spot rates, when all other variables are held constant. Negative values in the table reflect a potential reduction in income while a positive amount reflects a potential increase.

2025		2024	
USD Strengthens/ (Weakens)	**Effect on Income before Tax (in millions)**	USD Strengthens/ (Weakens)	Effect on Income before Tax (in millions)
(1.63%)	**₱8.53**	(4.47%)	₱17.64
1.63%	**(8.53)**	4.47%	(17.64)

The increase in ₱ rate as against US$ rate demonstrates weaker functional currency while the decrease represents stronger Philippine peso value.

There is no other impact on the equity other than those already affecting the consolidated statement of profit or loss.

6. Fair Value Measurement and Hierarchy

The following table sets forth the carrying values and estimated fair values of financial assets and liabilities, by category and by class, as at December 31, 2025 and 2024:

		2025		
		Fair Value		
	Carrying Value	**Quoted Prices in Active Markets (Level 1)**	**Significant Observable Inputs (Level 2)**	**Significant Unobservable Inputs (Level 3)**
Assets measured at fair value				
Financial assets at FVTPL				
Quoted equity securities	**₱1,173,832,781**	**₱1,173,832,781**	**₱–**	**₱–**
Money Market funds	**83,364,279**	–	**83,364,279**	–
Investment in government securities	**1,359,805**	–	**1,359,805**	–
Financial assets at FVOCI:				
Government securities:				
Current	**228,570,532**	–	**228,570,532**	–
Long-term	**602,494,081**	–	**602,494,081**	–
Corporate bonds:				
Current	–	–	–	–
Long-term	**93,250,000**	**93,250,000**	–	–
Financial assets at amortized cost:				
Current security deposits	**1,605,501**	–	–	**1,605,501**
Government securities	**1,139,719,420**	**1,139,719,420**	–	–
Corporate debt securities	**4,132,972**	–	–	**4,132,972**
Claims under litigation	**51,166,892**	–	–	**51,166,892**
Due from Equitiworld Securities, Inc.	**35,253,863**	–	–	**35,253,863**
Refundable deposits	**6,777,459**	–	–	**6,777,459**
Deposits in bank	**345,284**	–	–	**345,284**
	₱3,421,872,869	**₱2,406,802,201**	**₱915,788,697**	**₱99,281,971**
Liabilities measured at fair value -				
Noncurrent lease liabilities	**₱65,371,921**	**₱–**	**₱–**	**₱65,371,921**
Financial liabilities at amortized cost -				
Loans payable	**894,272,314**	–	**644,985,617**	–
	₱959,644,235	**₱–**	**₱644,985,617**	**₱65,371,921**

		2024		
		Fair Value		
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value				
Financial assets at FVTPL				
Quoted equity securities	₱1,147,691,864	₱1,143,691,864	₱4,000,000	₱–
Money Market funds	80,100,650	–	80,100,650	–
Investment in government securities	1,346,790	–	1,346,790	–
Financial assets at FVOCI:				
Government securities:				
Current	195,845,623	–	195,845,623	–
Long-term	794,549,759	–	794,549,759	–
Corporate bonds:				
Current	–	–	–	–
Long-term	113,090,000	113,090,000	–	–
Financial asset at amortized cost:				
Current security deposits	2,475,000	–	–	2,475,000
Government securities	675,756,265	98,843,457	576,912,808	–
Corporate debt securities	5,752,180	–	–	5,752,180
Claims under litigation	51,166,892	–	–	51,166,892
Deposits in bank	6,174,410	–	–	6,174,410
Refundable deposits	4,953	–	–	4,953
	₱3,073,954,386	₱1,355,625,321	₱1,652,755,630	₱65,573,435

(Forward)

	2024			
		Fair Value		
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Liabilities measured at fair value -				
Noncurrent lease liabilities	₱60,016,893	₱–	₱–	₱60,016,893

For the years ended December 31, 2025 and 2024, there were no transfers made among the three levels in the fair value hierarchy.

Cash and Cash Equivalents, Short-term Investments, Receivables excluding Advances to Employees, Current portion of Refundable Security Deposits and Deposits in Bank, Claims under Litigation, Due from Equitiworld Securities, Inc., Restricted Cash and Short-term Investments, Accounts Payable, Current portion of Lease Liabilities and Other Current Liabilities excluding Payable to government agencies
The carrying amounts approximate the fair values because of their short-term nature or due to the immaterial effect of discounting when present value of future cash flows from these instruments are calculated.

Financial Assets at FVTPL
The fair values of the financial assets at FVTPL have been determined directly by reference to quoted prices in active markets or inputs other than quoted prices that are directly or indirectly observable.

Financial Assets at FVOCI
The fair values of the financial assets at FVOCI are determined by reference to quoted market price at the close of business.

Investments in Debt Securities
For investments in government debt securities and corporate debt securities, fair values are based on quoted market prices.

Noncurrent Portion of Lease Liabilities
The fair value is based on the discounted value of expected future cash flows using the applicable interest rate.

Loans Payable
The fair value is based on the discounted value of future cash flows using the discount rate based on prevailing market rate as at end of reporting period.

7. Cash and Cash Equivalents

This account consists of:

	2025	2024
Cash on hand and in banks	**₱194,919,750**	₱155,472,513
Cash equivalents	**1,157,081,917**	1,736,228,939
	₱1,352,001,667	₱1,891,701,452

Cash in banks earn interest at 0.0625% both in 2025 and 2024 bank deposit rates. Cash equivalents are made for varying periods with original maturity of three months or less from dates of placement and earn interest rates ranging from 0.0625% to 6% in 2025 and 5.05% to 6.30% in 2024.

Interest income earned from cash and cash equivalents amounted to ₱91.06 million, ₱141.18 million and ₱30.51 million in 2025, 2024 and 2023, respectively (see Note 24).

8. **Financial Assets at FVTPL**

This account consists of:

	2025	2024
Investment in quoted equity securities	**₱1,173,832,781**	₱1,147,691,864
Investment in money market funds (see Note 15)	**83,364,279**	80,100,650
Investment in government securities (see Note 15)	**1,359,805**	1,346,790
	₱1,258,556,865	₱1,229,139,304

<u>Investment in Quoted Equity Securities</u>
The Group entered into an investment management agreement with third party banks for the disposition of its investible funds at the banks' discretion subject to the investment guidelines set by the Parent Company. The funds were invested in traded equity securities.

<u>Investment in Money Market Funds</u>
Investment in money market funds represents investments in unit investment trust funds that invest in time deposits, special deposit accounts and other low risk short-term fixed income securities. Investment in money market funds is regarded as highly liquid and are redeemable anytime.

<u>Investment in Government Securities</u>
This account consists of investments in Philippine government securities.

The fair value of the financial assets at FVTPL amounted to ₱1,258.56 million and ₱1,229.14 million as at December 31, 2025 and 2024, respectively. Mark-to-market gain (loss) on financial assets at FVTPL amounted to (₱21.90 million), ₱21.72 million and ₱10.38 million in 2025, 2024 and 2023, respectively.

Dividend income earned on financial assets at FVTPL amounted to ₱28.79 million, ₱24.70 million and ₱24.60 million in 2025, 2024 and 2023, respectively.

Interest income from investments at FVTPL amounted to ₱13.91 million, ₱13.15 million and ₱15.47 million in 2025, 2024 and 2023, respectively (see Note 24).

The fair values of the financial assets at FVTPL have been determined directly by reference to quoted prices in active markets or inputs other than quoted prices that are directly or indirectly observable (see Note 6).

9. Financial Assets at FVOCI

This account consists of investments in debt securities as of December 31:

	2025	2024
Government debt securities	**₱831,064,613**	₱990,395,382
Corporate bonds	**93,250,000**	113,090,000
	924,314,613	1,103,485,382
Less current portion	**228,570,532**	195,845,623
Noncurrent portion	**₱695,744,081**	₱907,639,759

Current portion of financial assets at FVOCI pertain to government debt securities with interest rate ranging from 3.325% to 5.276% in 2025 and 3.626% to 4.915% in 2024. Current portion of government debt securities as at December 31, 2025 and 2024 will mature in 2026 and 2025, respectively.

Peso-denominated long-term government debt securities and corporate bonds earn annual interest rates ranging from 4.135% to 8.008% in 2025 and 3.325% to 8.008% in 2024. Noncurrent and long-term portion of government debt securities and corporate bonds as at December 31, 2025 and 2024 will mature from 2027 to 2034 and 2026 to 2032, respectively.

Interest income earned from financial assets at FVOCI amounted to ₱51.53 million, ₱20.45 million and ₱156.28 million in 2025, 2024 and 2023, respectively (see Note 24).

The rollforward analysis of financial assets at FVOCI as at December 31, 2025 and 2024 follows:

	2025	2024
Balance at beginning of year	**₱1,103,485,382**	₱1,356,416,437
Additions	**51,030,000**	92,160,000
Maturities	**(243,429,159)**	(349,289,458)
Amortization of discount or premium	**(2,648,124)**	(394,900)
Gain on change in fair value	**15,876,514**	4,593,303
Balance at end of year	**₱924,314,613**	₱1,103,485,382

The movement of net unrealized loss on financial assets at FVOCI as at December 31, 2025 and 2024 follows:

	2025	2024
Balance at beginning of year	**(₱18,705,976)**	(₱23,299,279)
Gain on change in fair value	**15,876,514**	4,593,303
Balance at end of year	**(₱2,829,462)**	(₱18,705,976)

10. Financial Assets at Amortized Cost

This account consists of as of December 31:

	2025	2024
Government debt securities	**₱1,139,719,420**	₱675,663,660
Corporate debt securities	**4,132,972**	5,752,180
	₱1,143,852,392	₱681,415,840

This account consists of investments in Philippine government securities that earn EIRs ranging from 3.91% to 5.93% in 2025 and 5.15% to 6.16% in 2024. All of the outstanding investments in government debt securities as of December 31, 2025 are due within one year.

The Group also has outstanding placements evidenced by promissory notes issued by RCBC Rental Corporation. These placements earn interest rates of 4.00% in 2025. The expected settlement of these placements as of December 31, 2025 follow:

	2025	2024
Due within one year	**₱751,427**	₱92,605
Due beyond one year	**3,381,545**	5,659,575
	₱4,132,972	₱5,752,180

11. Receivables

This account consists of:

	2025	2024
Receivables from:		
Trading participants (see Note 33)	**₱219,691,753**	₱144,235,502
Data vendors	**24,808,086**	34,850,084
Listed companies	**25,252,646**	31,514,729
Accrued interest receivable (see Note 24)	**13,878,774**	12,994,938
Advances to/receivables from:		
Other fund members	**4,710,771**	9,699,589
Officers and employees	**15,297,365**	19,931,928
Others	**18,332,933**	8,521,166
	321,972,328	261,747,936
Less allowance for impairment loss	**3,186,924**	3,240,967
	₱318,785,404	₱258,506,969

Receivables generally have terms of 25 to 30 days, except for the receivables from data vendors which are normally collected within 45 days.

Movements of the allowance for impairment loss follow:

	2025	2024
Balance at beginning of year	**₱3,240,967**	₱2,857,961
Acquired through business combination (see Note 15)	–	383,006
Reversal	**(54,043)**	–
Balance at end of year	**₱3,186,924**	₱3,240,967

12. **Other Current Assets**

This account consists of:

	2025	2024
Restricted cash and short-term investments (see Note 18)	**₱354,646,438**	₱60,646,438
Prepaid expenses	**122,352,618**	184,863,446
Input VAT - net of noncurrent portion	**28,971,477**	23,234,182
Security deposits (see Note 29)	**1,605,501**	2,561,681
Contract assets	−	1,731,831
	₱507,576,034	₱273,037,578

Restricted cash and short-term investments relate to restricted cash in bank and short-term time deposits that are not available for use in operations. This also includes funds held in trust for specific purposes (see Note 18).

Prepaid expenses include prepayment of insurance, supplies, real property taxes, membership dues, maintenance and other expenses which are normally incurred within the next financial year.

Input VAT, net of noncurrent portion, represents VAT paid to suppliers that can be claimed as credit against the Group's future output VAT liabilities without prescription.

Security deposits pertain to refundable deposits for the lease of a photocopier which is expected to be received within the next financial year.

Contract assets represent the unbilled services to Premier which are expected to be received within the next financial year.

13. **Property and Equipment**

The composition of and movements in this account are as follows:

	December 31, 2025									
	Buildings	**Building Improvements**	**Leasehold Improvements**	**Registry, Depository and Custody Equipment**	**Trading System Equipment**	**Computer Hardware and Peripherals**	**Office, Furniture, Fixtures and Communication Equipment and Others**	**Transportation Equipment**	**New Clearing & Settlement System In-Progress**	**Total**
Cost										
At beginning of year	**₱1,072,795,038**	**₱48,551,755**	**₱81,203,609**	**₱97,166,285**	**₱412,830,870**	**₱677,364,704**	**₱543,002,681**	**₱30,904,556**	**₱136,940,673**	**₱3,100,760,171**
Additions	**–**	**–**	**138,653**	**–**	**120,680,709**	**63,852,724**	**16,478,261**	**3,078,176**	**–**	**204,228,523**
Disposals	**–**	**–**	**–**	**–**	**–**	**(60)**	**(103,252)**	**(82,052)**	**–**	**(185,364)**
Adjustments	**–**	**–**	**–**	**–**	**–**	**(6,811,025)**	**(237,000)**	**–**	**–**	**(7,048,025)**
At end of year	**1,072,795,038**	**48,551,755**	**81,342,262**	**97,166,285**	**533,511,579**	**734,406,343**	**559,140,690**	**33,900,680**	**136,940,673**	**3,297,755,305**
Accumulated Depreciation										
At beginning of year	**300,842,929**	**12,509,094**	**80,658,864**	**97,166,285**	**348,347,060**	**579,170,808**	**459,793,546**	**16,943,291**	**31,771,969**	**1,927,203,846**
Depreciation (see Notes 24 and 25)	**42,911,646**	**3,165,399**	**149,492**	**–**	**51,215,452**	**42,145,736**	**34,136,763**	**6,031,987**	**17,733,191**	**197,489,666**
Disposals	**–**	**–**	**–**	**–**	**–**	**–**	**(82,730)**	**(82,052)**	**–**	**(164,782)**
At end of year	**343,754,575**	**15,674,493**	**80,808,356**	**97,166,285**	**399,562,512**	**621,316,544**	**493,847,579**	**22,893,226**	**49,505,160**	**2,124,528,730**
Net book value	**₱729,040,463**	**₱32,877,262**	**₱533,906**	**₱–**	**₱133,949,067**	**₱113,089,799**	**₱65,293,111**	**₱11,007,454**	**₱87,435,513**	**₱1,173,226,575**

	December 31, 2024									
	Buildings	Building Improvements	Leasehold Improvements	Registry, Depository and Custody Equipment	Trading System Equipment	Computer Hardware and Peripherals	Office, Furniture, Fixtures and Communication Equipment and Others	Transportation Equipment	New Clearing & Settlement System In-Progress	Total
Cost										
At beginning of year	₱1,072,795,038	₱46,601,755	₱–	₱–	₱311,357,637	₱642,391,750	₱179,188,066	₱32,997,780	₱136,940,673	₱2,422,272,699
Acquired through business combination (see Note 15)	–	–	81,203,609	97,166,285	6,083,563	–	363,946,234	–	–	548,399,691
Additions	–	2,677,500	–	–	99,886,949	37,837,862	1,289,182	1,031,775	–	142,723,268
Disposals	–	(727,500)	–	–	(4,394,625)	(2,653,888)	(1,420,801)	(3,124,999)	–	(12,321,813)
Adjustments	–	–	–	–	(102,654)	(211,020)	–	–	–	(313,674)
At end of year	1,072,795,038	48,551,755	81,203,609	97,166,285	412,830,870	677,364,704	543,002,681	30,904,556	136,940,673	3,100,760,171
Accumulated Depreciation										
At beginning of year	257,931,283	8,610,956	–	–	267,227,288	544,838,420	160,813,998	12,742,840	14,038,777	1,266,203,562
Acquired through business combination (see Note 15)	–	–	80,658,864	97,166,285	6,083,563	–	297,222,811	–	–	481,131,523
Depreciation (see Notes 24 and 25)	42,911,646	3,898,138	–	–	75,138,860	36,986,187	3,176,425	6,365,629	17,733,192	186,210,077
Disposals	–	–	–	–	(102,651)	(2,653,799)	(1,419,688)	(2,165,178)	–	(6,341,316)
At end of year	300,842,929	12,509,094	80,658,864	97,166,285	348,347,060	579,170,808	459,793,546	16,943,291	31,771,969	1,927,203,846
Net book value	₱771,952,109	₱36,042,661	₱544,745	₱–	₱64,483,810	₱98,193,896	₱83,209,135	₱13,961,265	₱105,168,704	₱1,173,556,325

As at December 31, 2025 and 2024, the Group's acquisitions of property and equipment which remains unpaid and is included under "Accounts payable and other current liabilities - Trade" amounted to ₱27.33 million and ₱46.62 million, respectively.

The Group disposed property and equipment with carrying value amounting to ₱0.02 million, ₱5.98 million and ₱0.54 million with related gain (loss) on disposal amounting to ₱0.04 million, ₱0.17 million and nil in 2025, 2024 and 2023, respectively.

As at December 31, 2025 and 2024, no property and equipment have been pledged as security or collateral for any of the Group's liabilities.

Building. This includes condominium units at the PSE Tower, Fort Bonifacio Global City. The condominium units were transferred to and accepted by the Exchange on September 22, 2017.

Building Improvements. These pertain to improvements of office units at PSE Tower, Fort Bonifacio Global City.

Trading System Equipment and New Clearing System. These represent software and hardware costs. Software costs cannot be separately classified as an intangible asset as this is an integral part of the related hardware.

14. Investment Property

This pertains to the condominium units at Exchange Plaza, Ayala Triangle, Makati City (see Note 21).

On December 12, 2018, the BOD authorized the Exchange's management to lease out the Exchange Plaza and engage, negotiate and discuss with prospective lessees the terms and conditions of the lease beneficial to the exchange.

The movements in this account are as follows:

	2025	2024
Cost		
Balance at beginning and end of year	**₱148,411,631**	₱148,411,631
Accumulated depreciation		
Balance at beginning of year	**20,076,238**	14,106,795
Depreciation (see Note 25)	**5,936,464**	5,969,443
Balance at end of year	**26,012,702**	20,076,238
Net book value	**₱122,398,929**	₱128,335,393

Fair Value of Investment Property. The investment property is valued at ₱1,369.16 million based on its latest appraisal report dated November 21, 2025. The property's valuation date is for the year ended December 31, 2025.

The most recent fair value of the investment property is determined by an independent appraiser who holds a recognized and relevant professional qualification. The valuation of investment properties was based on market values using the market approach. The fair value represents the price that would be received to sell the investment properties in an orderly transaction between market participants at the date of valuation. The determination of the fair value of the investment property is categorized under Level 2 fair value measurement since valuation is based on observable inputs such as the asking prices of comparable units.

15. **Business Combination and Goodwill**

In 2023, the Exchange owned 20.98% interest in PDSHC, a domestic stock corporation, whose principal activity is to provide platform for the issuance, trading, dealing and exchange of fixed income securities and monetary requirements (see Note 16). The Group acquired PDSHC because of its expected business synergies to the Group.

On various dates in December 2024, the Exchange entered into and signed Sale and Purchase Agreements (SPAs) with several PDSHC stockholders for the acquisition of additional 2.02 million common shares of PDSHC representing 32.36% interest for a total consideration of ₱1,213.52 million, of which ₱1,194.77 million was paid in December 2024. The remaining balance of ₱18.75 million was paid in January 2025. These acquisitions were completed and closed on December 27, 2024 (the Acquisition Date). By December 31, 2024, the Exchange owns 3.33 million common shares representing 53.34% equity interest and gains control over PDSHC. Consequently, the financial position of PDSHC is consolidated with the Group effective on December 31, 2024.

The business combination is achieved in stages. The Exchange remeasure its previously held equity interest in the PDSHC (previously an investment in associate) at its acquisition-date fair value. The difference between the acquisition-date fair value and carrying value as at December 31, 2024 is recognized as “Gain on remeasurement of previously held equity interest” in statement of comprehensive income.

Acquisition-date fair value of initial 20.98% interest in PDSHC	₱786,764,004
Less: Carrying value of investment in PDSHC (see Note 16)	323,906,623
Gain on remeasurement of previously held equity interest	₱462,857,381

The Group elected to measure the non-controlling interest in PDSHC at the proportionate share of its interest in the PDSHC’s identifiable net assets.

The fair values of the identifiable assets and liabilities of PDSHC as at the date of acquisition were:

	Fair value recognized on acquisition
Assets	
Cash and cash equivalents	₱590,537,592
Receivables	139,760,200
Financial assets at FVTPL	81,447,440
Financial assets at amortized cost	681,415,840
Property and equipment - net	123,058,211
Deferred tax assets	11,626,176
Software and system development costs	42,826,642
Other assets	107,572,505
	1,778,244,606

(Forward)

	Fair value recognized on acquisition
Liabilities	
Accrued expenses and other payables	₱128,122,840
Dividends payable	90,175,488
Lease liabilities	52,594,501
Income tax payable	34,177,974
Retirement and other post-employment benefit obligation	23,904,579
Contract liabilities	6,849,698
	335,825,080
Total identifiable net assets at fair value	**1,442,419,526**
Non-controlling interests measured at proportionate share in identifiable net assets	(673,032,951)
Goodwill arising on acquisition	1,230,899,029
Purchase consideration transferred	**₱2,000,285,604**
Cash paid	₱1,213,521,600
Fair value of previously held interest	786,764,004
Purchase consideration transferred	**₱2,000,285,604**

The net assets recognized in the December 31, 2024 consolidated financial statements were based on a provisional assessment of their fair values.

The acquisition date fair value of receivables amounted to ₱139.76 million. The gross amount of receivables is ₱140.14 million and it is expected that the full contractual amounts can be collected.

The goodwill of ₱1,230.90 million comprises the value of expected synergies arising from the acquisition, which is entirely allocated to the PDSHC group. None of the goodwill recognized is expected to be deductible for income tax purposes. There are no other identified intangible assets upon acquisition.

Since the Acquisition Date happened at the end of 2024, the results of operations of PDSHC for the year ended December 31, 2024 is accounted for as equity in net earnings (see Note 16). If the business combination had taken place at the beginning of the year, PDSHC's revenue and income before income tax contributions would have been ₱1,185.76 million ₱475.36 million, respectively.

The analysis of cash flow from acquisition follows:

Transaction costs of the acquisition (included in cash flows from operating activities)	(₱3,062,600)
Net cash acquired with the subsidiary (included in cash flows from investing activities)	590,537,592
Net cash flow on acquisition	₱587,474,992

As of and for the year ended December 31, 2024, the summarized financial information of PDSHC, which have material non-controlling interests is provided below:

Statement of Financial Position	
Current assets	₱1,581,960,831
Noncurrent assets	200,368,296
Current liabilities	(274,177,683)
Noncurrent liabilities	(61,647,397)
Total equity	₱1,446,504,047
Total equity Attributable to:	
Equity holders of the parent company	₱1,425,529,813
Non-controlling interest	20,974,234
Statement of Comprehensive Income	
Revenues	₱1,185,761,402
Costs and operating expenses	(547,042,094)
Finance costs	(2,809,360)
Income before income tax	635,909,948
Income tax	(160,540,409)
Net income	**475,369,539**
Other comprehensive loss	(5,920,907)
Total comprehensive income	₱469,448,632
Net income attributable to:	
Equity holders of the parent company	₱466,585,350
Non-controlling interest	8,784,189

In December 2025, the valuation was completed and there were no changes in the acquisition date fair values of the identifiable assets and liabilities. There were no changes in the provisional amounts as of December 2024.

Acquisition of non-controlling interest

PDSHC

During the year ended December 31, 2025, the Exchange acquired an additional 2.55 million common shares of PDSHC, increasing its ownership stake by 40.87%. As of December 31, 2025, the Exchange holds a total of 5.89 million common shares, representing a 94.21% equity interest in PDSHC.

The increase in ownership interest of the Exchange in PDSHC as a result of the subsequent acquisition of non-controlling interest did not result in the recognition of a gain or loss but only adjustments to the carrying amount of non-controlling interest and equity reserve amounting to ₱589.52 million and ₱943.12 million, respectively.

Premier

In 2024, the Exchange and a shareholder of Premier entered into a Deed of Donation to transfer, by way of donation, the 100,000 common shares with par value of ₱100 per share or ₱10.0 million owned by the shareholder of Premier to the Exchange. As a result, the Exchange acquired additional 20.0% interest in the voting shares of Premier, increasing its ownership interest to 100.0% (see Note 21).

The increase in ownership interest of the Exchange in Premier as a result of the subsequent acquisition of non-controlling interest, by way of donation, do not result in the recognition of a gain or loss but only adjustments to the carrying amount of non-controlling interest and equity reserve amounting to ₱10.93 million.

Impairment testing of goodwill

For impairment testing, goodwill acquired through business combination is allocated to depository and fixed income business CGU which is also operating and reportable segment. The Exchange performed its annual impairment test in December 2025.

The recoverable amount of the depository and fixed income business CGU as at December 31, 2025 have been determined based on value in use calculation using cash flow projections from financial budgets approved by the BOD of PDSHC. The discount rate applied to cash flow projections is 12% for depository and fixed income business CGU. Cash flows beyond the projection period of three years are determined using a 4.50% growth rate for the depository and fixed income business CGU, which is the same as the long-term average growth rate for the fixed income securities industry. Other key assumption used in the cash flow projections include revenue growth rate.

Based on the assessment of the value in use of the depository and fixed income business CGU, the recoverable amount exceeded its carrying amount. Hence, no impairment was recognized in relation to goodwill as at and for the year ended December 31, 2025.

16. **Investment in an Associate**

Prior to December 2024, this account represents the 20.98% interest in Philippine Dealing System Holdings Corp. (PDSHC), a domestic stock corporation, whose principal activity is to provide platform for the issuance, trading, dealing and exchange of fixed income securities and monetary instruments.

As at December 31, 2024, the movements in this account follow:

Acquisition cost	₱137,050,657
Accumulated equity in net income of an associate:	
Balance at beginning of year	741,160,842
Equity in net income	98,555,487
Balance at end of year	839,716,329
Accumulated equity in other comprehensive income - remeasurement on pension liability:	
Balance at beginning of year	4,957,116
Share in remeasurement gain (loss) on pension	(1,218,595)
Balance at end of year	3,738,521
Accumulated dividend income:	
Balance at beginning of year	(593,658,884)
Dividends declared during the year	(62,940,000)
Balance at end of year	(656,598,884)
Acquisition through business combination (see Note 15)	(323,906,623)
	₱–

17. **Other Noncurrent Assets**

This account consists of:

	2025	2024
Claims under litigation	**₱51,166,892**	₱51,166,892
Due from Equitiworld Securities, Inc.	**35,253,863**	–
Software and system development costs	**24,053,450**	43,999,566
Input VAT - noncurrent portion	**6,886,222**	6,903,102
Security deposits (see Note 29)	**6,777,459**	4,953
Deposits in bank	**345,284**	6,174,410
Advances to employees - noncurrent portion	**–**	450,713
Other investments	**1,707,035**	251,728
Others	**731,080**	239,815
	₱126,921,285	₱109,191,179

Claims under litigation include ₱51.17 million garnished while still under litigation.

Due from Equitiworld Securities, Inc.
In November 2024, the SEC En Banc ordered CMIC to take-over the operations of Equitiworld Securities, Inc. (ESI) for the purpose of settling the ESI's liabilities to its customers, the PSE and other trading participants. Further, the SEC En Banc ordered CMIC to, among other actions: take possession and control of all the books and records, as well as trade-related assets of ESI; settle ESI's liabilities to its customers through the sale of its trading right and other trade-related assets, as may be prescribed by the SEC, the liquidation of paid-up capital, and or supervision of payment claims against the surety bond; and execute and carry out other acts and/or documents that are necessary or appropriate in carrying out the powers granted in the SEC En Banc's order.

In May 2025, in accordance with the take-over order from the SEC, the BOD of CMIC approved the filing of a petition for consignation before the Regional Trial Court of Makati City (RTC Makati) in relation to the exercise of right of redemption of the Company on behalf of ESI over certain foreclosed condominium units of ESI. The BOD of CMIC likewise approved the payment of any necessary expenses, including the filing fees for the petition for consignation and the redemption price. In November 2025, CMIC was authorized by RTC Makati to deposit with the Office of the Clerk of Court and Ex-Officio Sheriff of Makati City the amount of ₱32.02 million representing the alleged redemption price of the properties.

As at December 31, 2025, a total of ₱35.25 million expenses were incurred by CMIC in relation to the petition for consignation. The stated redemption price of the properties will be recovered once the property is liquidated through sale or a decision on the case becomes final. The other expenses shall be billed to ESI and included in the allocation plan submitted to the SEC for approval.

The movements in software and system development costs account are as follow:

	2025	2024
Cost:		
Balance at beginning of year	**₱433,410,904**	₱79,525,166
Acquired through business combination (see Note 15)	–	352,830,877
Additions	**2,401,087**	1,054,861
Balance at end of year	**435,811,991**	433,410,904
Accumulated amortization:		
Balance at beginning of year	**389,411,338**	68,677,684
Acquired through business combination (see Note 15)	–	310,004,235
Amortization (see Notes 25 and 26)	**22,347,203**	10,729,419
Balance at end of year	**411,758,541**	389,411,338
Net book value	**₱24,053,450**	₱43,999,566

This account includes capitalized costs incurred from the acquisition, development and customization of the integrated systems used in the Group's operations. The additions include a software that is currently being developed by Premier which is designed with the intention to revolutionize the financial services by providing everyone an opportunity to have a self-service direct market trading platform to invest in the stock market. The mobile trading platform has started its development in the year 2019 and was launched last February 11, 2023.

Noncurrent portion of input VAT pertains to deferred VAT that can be claimed as credit against future output VAT from the reporting date without prescription.

Deposits in bank include amount deposited by the Parent Company in favor of National Labor Relations Commission (NLRC) in connection with pending labor cases which are still on appeal. Under the Rules of NLRC, the amount may not be withdrawn by the Parent Company until final disposition of the cases.

Security deposits are presented at amortized cost, amortization of which is based on EIR method. The difference between the fair value at initial recognition and nominal value of security deposit on leases is charged to "Deferred lease asset" account and amortized on a straight-line basis over the lease term of six (6) years.

18. **Accounts Payable and Other Current Liabilities**

This account consists of:

	2025	2024
Funds held in trust (see Note 12)	**₱294,000,000**	₱–
Trade (see Note 13)	**97,311,707**	139,606,394
Due to SEC	**97,149,814**	74,083,688
Accrued expenses:		
Utilities, supplies, outside services and various accrued expenses	**41,238,100**	54,398,763
Interest	**24,206,400**	–
Repairs and maintenance	**20,675,120**	11,325,707
Penalties and taxes	**20,669,297**	21,798,651
Occupancy costs	**13,598,722**	12,433,144
Compensation and other related staff costs	**11,948,779**	2,990,666
Professional fees	**10,604,724**	15,847,184
SEC transaction fees	**2,500,000**	2,500,000
Payable to government agencies	**66,098,691**	42,193,241
Due to brokers	**2,124,711**	2,070,342
Others	**41,687,913**	50,627,109
	₱743,813,978	₱429,874,889

Funds held in trust
On April 10, 2025, the BOD of PDSHC approved the sale of up to 49% of its interest in PDEX to the Bankers Association of the Philippines (BAP), subject to SEC approval. This is part of the agreement between the Parent Company and BAP upon the acquisition of PDSHC shares (see Note 15). As at December 31, 2025, this transaction is pending approval by the SEC. The consideration for the sale of PDEX shares amounting to ₱294 million as at December 31, 2025 was withheld by the Parent Company from the consideration for the PDSHC's shares and will be held in trust by the Parent Company until fulfillment of all closing conditions for the sale and purchase of PDEX shares, including SEC's approval.

Due to SEC represents the amount payable for license fees to operate an exchange imposed under Section 35 of the SRC entitled "Additional Fees of Exchanges", which are subsequently billed and collected from active trading participants. These are settled within the next financial year.

Trade, accrued expenses, payable to government agencies and others are noninterest-bearing, except for legal costs, and are normally settled within the next financial year.

Others mainly include provisions for probable losses and other liabilities.

19. Contract Liabilities, Deferred Fees and Others

Contract Liabilities
This account consists of:

	2025	2024
Listing fees	**₱1,212,712,483**	₱1,184,216,775
Data feed fees	**1,486,758**	2,119,330
Management fees	**8,966,948**	13,021,166.
	1,223,166,189	1,199,357,271
Less noncurrent portion of contract liabilities	**1,055,298,218**	1,025,719,817
Current portion of contract liabilities	**₱167,867,971**	₱173,637,454

The current portion of contract liabilities from listing fees, data feed fees and management fees are normally realized within the next financial year. The noncurrent portion of contract liabilities as at December 31, 2025 and 2024 are expected to be realized in 2027 to 2038 and in 2026 to 2037, respectively (see Note 23).

Deferred fees and others
Deferred fines pertain to receipt of payment for violation of the Exchange's listing and disclosure rules that are expected to be realized within the next reporting period.

Deferred fees pertain to receipt of payments for Bull Run and other sponsorship events that are expected to be realized within the next reporting period.

20. Loans Payable

As at December 31, 2025, this account consists of the following loans obtained from local banks:

Philippine peso-denominated:	
Banco De Oro	₱450,000,000
Rizal Commercial Banking Corporation	450,000,000
	900,000,000
Less: Debt issue costs	(5,727,686)
	894,272,314
Less: Current portion	88,955,889
Noncurrent portion	₱805,316,425

In January 2025, the Exchange entered into unsecured term loan facility agreement with two local banks from which initial drawdowns totaling ₱900 million were made on January 31, 2025. The loans are payable within a period of 10 years in equal annual principal repayments and carry a fixed interest rate of 6.56% per annum, payable semi-annually.

The proceeds of the loan were used to partially finance the acquisition of additional PDSHC shares in 2025 (see Note 15).

Interest expense incurred from loans amounted to ₱53.70 million for the year ended December 31, 2025, which includes amortization of debt issue costs amounting to ₱1.02 million.

Debt Issue Costs
As at December 31, 2025, the unamortized debt issue costs are as follows:

Balance at beginning of year	₱–
Additions	6,750,000
Amortization	(1,022,314)
Balance at end of year	₱5,727,686

Compliance with Debt Covenants
The loan agreements provide certain restrictions and requirements principally with respect to maintenance of required financial ratios such as total debt-to-equity ratio of not more than 1-3x, debt service coverage ratio of not less than 1.2-1.5x and current ratio more than 1x. The Exchange has complied with all of its debt covenants as at December 31, 2025.

21. Donated Capital

This account consists of:

	2025	2024
Donations from FBDC	**₱221,597,831**	₱211,597,831
Donation from a shareholder in Premier (see Note 15)	**–**	10,000,000
	₱221,597,831	₱221,597,831

22. Capital Stock

The composition of capital stock is as follows:

	2025	2024
Common and preferred stock - ₱1.00 par value		
Authorized - 106.0 million common shares and 14.0 million preferred shares		
Issued - 85,471,790 shares in 2025 and 85,400,310 in 2024	**₱85,471,790**	₱85,400,310
Additional paid-in capital in excess of par*	**3,978,109,934**	3,962,378,379
Subscribed capital stock (see Note 35)	**42,402,896**	41,083,385
Subscription receivable (see Note 35)	**(15,827,414)**	(16,462,565)
	4,090,157,206	4,072,399,509
Treasury stock - 3,513,952 shares in 2025 and 2024	**(696,293,587)**	(696,293,587)
	₱3,393,863,619	₱3,376,105,922

**Including ESPP subscription outstanding amounting to ₱18.70 million and ₱15.10 million in 2025 and 2024, respectively.*

The following summarizes the information on the Parent Company's registration of securities under the SRC:

Date of SEC Approval	Authorized Shares	No. of Shares Issued	Issue/Offer Price
August 8, 2001	36,800,000	9,200,008	₱31.16
January 28, 2004	–	6,077,505	119.50
September 10, 2008	–	15,177,499	–
September 12, 2008	61,000,000	–	–
June 9, 2011	–	30,504,363	–
November 14, 2013	22,200,000	12,221,680	–
March 22, 2018	–	11,500,000	252.00
ESPP:			
2009		₱49,358	
2010		50,000	
2011		50,000	
2012		49,397	
2014		50,603	
2015		50,000	
2018		23,437	
2019		13,809	
2020		(17)	
2021		72,521	
2022		63,819	
2023		67,983	
2024		178,345	
2025		71,480	
	120,000,000	85,471,790	

The Exchange has a total number of shareholders of 319 and 312 as at December 31, 2025 and 2024, respectively.

On May 4, 2019, the stockholders approved the amendment of the Exchange's Articles of Incorporation to create preferred shares by reclassifying 14,000,000 unissued common shares into 14,000,000 preferred shares with par value of ₱1.00 per share.

The authorized capital stock of the Exchange is ₱120.00 million divided into 106,000,000 common shares with par value of ₱1.00 per share or ₱106.00 million and 14,000,000 preferred shares with par value of ₱1.00 per share or ₱14.00 million. The features of the preferred shares are:
(a) voting, (b) cumulative in payment of dividends, (c) non-participating in any further dividends, (d) non-convertible to common shares, (e) has preference over holders of common shares in the payment of dividends and distribution of corporate assets; holders of preferred shares to be paid in full the issue price (or pro rata if the assets of the corporation are insufficient) in the ease of dissolution and liquidation, (f) redeemable at the option of the BOD beginning the 5th anniversary date and (g) no pre-emptive rights. The terms of issuance of the preferred shares will be determined by the BOD.

On September 12, 2019, the SEC approved the amendments in the Exchange's articles of incorporation. As at December 31, 2025 and 2024, there were no issuance of preferred shares.

Retained Earnings

	Dividends			
Date of Declaration	Per Share	Total Amount	Record Date	Payment Date
April 28, 2025	₱10.00	₱822,678,670	May 14, 2025	May 27, 2025
February 21, 2024	₱10.00	820,848,390	March 8, 2024	April 5, 2024
March 22, 2023	10.00	820,797,130	April 5, 2023	May 5, 2023

Unappropriated retained earnings include the accumulated equity in net earnings of subsidiaries and associate amounting to ₱1,412.17 million and ₱1,574 million as at December 31, 2025 and 2024, respectively, that is not available for distribution until such time that the Parent Company receives the dividends from the respective subsidiaries and associate. In addition, the retained earnings of the Parent Company is restricted for the payment of dividends to the extent of ₱696.29 million as at December 31, 2025 and 2024 representing the cost of shares held in treasury.

In accordance with SEC Memorandum Circular No. 16 issued in September 2023, the Parent Company's retained earnings available for dividend declaration as of December 31, 2025 amounted to ₱464.77 million.

As at December 31, 2025 and 2024, the total appropriated retained earnings of the Group is ₱151.40 million. In 2008, the Parent Company's BOD appropriated ₱68.00 million of its retained earnings in connection with its acquisition of treasury shares. In 2007, the Parent Company's BOD appropriated ₱3.00 million to cover potential liability cases filed against the Parent Company, its directors and/or its officers. SCCP appropriated retained earnings amounting to ₱50.00 million for the settlement of trade obligations of defaulting clearing members should the clearing and trade guarantee fund not be enough (see Note 37).

On August 15, 2023 and July 16, 2024, the Board of Directors of CMIC approved the appropriation of its retained earnings amounting to ₱15.40 million and ₱15.00 million, respectively, for the infrastructure upgrade of its surveillance system. The upgrade of the surveillance system is expected to be completed by end of 2026.

Ownership in the Parent Company

The SRC provides that no industry or business group may beneficially own or control, directly or indirectly, more than 20% of the voting rights of the Parent Company. On August 13, 2007, the SEC imposed on the Parent Company a penalty of ₱101,100 plus a daily fine of ₱100 for every day of delay of compliance because the total trading participant ownership in the Parent Company exceeds the allowable limit. Starting March 2009, the daily fine for every day of delay of compliance is ₱500. As at December 31, 2025 and 2024, the total amount of penalty recognized by the Group under "Accounts payable and other current liabilities - accrued expenses" account in the consolidated statements of financial position amounted to ₱1.64 million (see Note 18). As at December 31, 2025 and 2024, the brokers' shareholdings with voting rights is at 17.84% and 18.01%, respectively.

Stock Rights Offering (SRO)

The proceeds from SRO were used for financing of expenditures related to product development and working capital requirements and general corporate purposes from 2018 to 2021. Disbursements from SRO amounted to ₱494.43 million and ₱1,195.57 million in December 31, 2025 and 2024, respectively.

As at December 31, 2025 and 2024, the balance of the proceeds amounted to nil and ₱494.43 million, respectively.

Buyback of Common Shares and Creation of Non-voting Preferred Shares
On August 28, 2019, the BOD approved the Exchange's compliance plan to align shareholder ownership with the 20% limit set by SRC. This is composed of the buyback of common shares from broker shareholders and creation of preferred shares at ₱1.00 par value with features of (a) non-voting, (b) cumulative in payment of dividends, (c) non-participating in any further dividends, (d) non-convertible and (e) redeemable at the option of the BOD beginning on the third anniversary date.

On October 2, 2019, the Exchange acquired 2,419,965 common shares from broker shareholders at ₱183.93 per share with a total purchase price of ₱445.10 million.

On November 5, 2019, the Exchange acquired 753,983 common shares from broker shareholders at ₱183.93 per share with a total purchase price of ₱138.68 million.

Other costs paid by the Exchange in relation to the acquisition of treasury shares amounted to ₱0.96 million as at December 31, 2019.

On January 23, 2020, the Exchange acquired 240,000 common shares from broker shareholders at ₱181 per share with a total purchase price of ₱43.44 million.

Other costs paid by the Exchange in relation to the acquisition of treasury shares amounted to ₱0.10 million as at December 31, 2020.

Capital Management
The Group's objectives when managing capital are (a) to safeguard the Group's ability to continue as a going concern, so that it continues to provide returns for shareholders and benefits for other stakeholders; (b) to support the Group's stability and growth; and (c) to provide capital for the purpose of strengthening the Group's risk management capability.

The Group actively and regularly reviews and manages its capital structure to ensure optimal capital structure and shareholder returns, taking into consideration the future capital requirements of the Group and capital efficiency, prevailing and projected profitability, projected operating cash flows, projected capital expenditures and projected strategic investment opportunities. No changes were made in the objectives, policies or processes as at December 31, 2025 and 2024.

The Group considers all the components of its total equity as capital. The Group adopts a practice of providing shareholders with regular dividends.

Regulatory Capital – PDTC
Under existing BSP regulations, the determination of the Company's compliance with regulatory requirements and ratios is based on the amount of the Company's unimpaired capital reported to the BSP, determined on the basis of regulatory accounting policies which differ from PFRS Accounting Standards in some aspects.

On January 15, 2013, the BSP issued BSP Circular No. 781 for the implementing guidelines on the revised risk-based capital adequacy framework particularly on the minimum capital and disclosure requirements for the Philippine banking system in accordance with the Basel III standards.

Quasi-banks (QBs) that are not subsidiaries of universal banks and commercial banks shall not be subject to risk-based capital adequacy ratios (CAR). The CAR of quasi-banks, expressed as percentage of a qualifying capital to risk weighted assets, shall not be less than ten percent (10%). This circular became effective beginning January 1, 2014.

The Company's regulatory capital includes Tier 1 (core) capital, which comprises share capital and retained earnings including current year profit less required deductions such as deferred income tax and unsecured credit accommodations to directors, officers, stockholders and related interests (DOSRI). The other component of regulatory capital is Tier 2 (supplementary) capital, which includes, among others, general loan loss provision. The risk-weighted assets, which is computed based on BSP regulations.

Regulatory Qualifying Capital - PDTC
Shown below are the Company's minimum capital-to-risk assets ratio as of December 31, 2025 and 2024:

	2025	2024
Tier 1 Capital	**₱1,295,990,166**	₱913,677,979
Tier 2 Capital	**-**	-
Gross qualifying capital	**1,295,990,166**	913,677,979
Less: required deductions	**500,000**	500,000
Total Qualifying Capital	**₱1,295,490,166**	₱913,177,979
Risk Weighted Assets	**₱2,224,825,720**	₱2,192,130,350
Risk-based capital adequacy ratio	**57.71%**	41.66%

The Company is required to maintain capital amounting to at least ₱300 million. As of December 31, 2025 and 2024, the Company is in compliance with regulatory capital requirements.

Minimum Liquidity Ratio (MLR) - PDTC
BSP Circular No. 1035 provides the implementing guidelines on MLR and disclosure standards that are consistent with the Basel III Liquidity Coverage Ratio Framework. The 20% MLR aims to ensure that stand-alone QBs set aside liquidity buffer that will enable them to withstand liquidity stress events. MLR is expressed as a percentage of QB's eligible liquid assets to its qualifying liabilities. As of December 31, 2025 and 2024, the MLR was at 713.45% and 474.62%, respectively.

23. Revenues

This account consists of:

	2025	2024	2023
Listing-related fees:			
Listing	**₱381,491,319**	₱294,436,514	₱314,208,300
Listing maintenance	**383,012,139**	252,018,455	262,227,199
Processing	–	500,000	–
Depository-related fees:			
Depository securities account fees	**572,454,880**	–	–
Registry-maintenance fees	**141,905,414**	–	–
Trading-related fees:			
Transaction (see Note 33)	**592,644,351**	126,227,439	116,903,145
Data feed	**224,099,971**	200,970,281	183,179,832
Block sales (see Note 33)	**33,392,404**	23,263,072	30,575,642
Subscription (see Note 33)	**104,978,415**	88,774,909	80,136,657
Service fees (see Note 33)	**317,993,964**	266,947,342	263,354,978
Other revenues (see Note 33)	**90,630,383**	144,951,794	150,678,864
	₱2,842,603,240	₱1,398,089,806	₱1,401,264,617

Disaggregated Revenue Information

The table below shows the disaggregation of revenues from contracts with customers of the Group by major products/service lines and a reconciliation of the disaggregated revenues with the Group's three strategic divisions for the years ended December 31, 2025, 2024 and 2023:

	December 31, 2025			
	Listing	**Trading**	**Service**	**Total**
Major Product/Service Lines				
Depository securities account fees	**₱–**	**₱–**	**₱572,454,880**	**₱572,454,880**
Listing filing fees	**381,491,319**	**–**	**–**	**381,491,319**
Listing maintenance fees	**383,012,139**	**–**	**–**	**383,012,139**
Settlement and clearing fee	**–**	**–**	**317,993,964**	**317,993,964**
Registry - maintenance fees	**–**	**–**	**141,905,414**	**141,905,414**
Transaction fees	**–**	**592,644,351**	**–**	**592,644,351**
Data feed fees	**–**	**224,099,971**	**–**	**224,099,971**
Block sales	**–**	**33,392,404**	**–**	**33,392,404**
Subscription fees	**–**	**104,978,415**	**–**	**104,978,415**
Management fee		**–**	**1,210,190**	**1,210,190**
Seminar fee	**–**	**–**	**550,893**	**550,893**
Others	**56,956,741**	**–**	**31,912,559**	**88,869,300**
	₱821,460,199	**₱955,115,141**	**₱1,066,027,900**	**₱2,842,603,240**
Timing of revenue recognition				
Transferred at a point in time	**₱–**	**₱626,036,755**	**₱1,064,817,710**	**₱1,690,854,465**
Transferred over time	**821,460,199**	**329,078,386**	**1,210,190**	**1,151,748,775**
	₱821,460,199	**₱955,115,141**	**₱1,066,027,900**	**₱2,842,603,240**

	December 31, 2024			
	Listing	Trading	Service	Total
Major Product/Service Lines				
Listing filing fees	₱294,436,514	₱–	₱–	₱294,436,514
Listing maintenance fees	252,018,455	–	–	252,018,455
Processing fee	500,000	–	–	500,000
Settlement and clearing fee	–	–	266,947,342	266,947,342
Transaction fees	–	126,227,439	–	126,227,439
Data feed fees	–	200,970,281	–	200,970,281
Block sales	–	23,263,072	–	23,263,072
Subscription fees	–	88,774,909	–	88,774,909
Management fee		–	199,060	199,060
Seminar fee	–	–	523,661	523,661
Others	109,516,902	–	34,712,171	144,229,073
	₱656,471,871	₱439,235,701	₱302,382,234	₱1,398,089,806
Timing of revenue recognition				
Transferred at a point in time	₱–	₱149,490,511	₱302,183,174	₱451,673,685
Transferred over time	656,471,871	289,745,190	199,060	946,416,121
	₱656,471,871	₱439,235,701	₱302,382,234	₱1,398,089,806

	December 31, 2023			
	Listing	Trading	Service	Total
Major Product/Service Lines				
Listing filing fees	₱314,208,300	₱–	₱–	₱314,208,300
Listing maintenance fees	262,227,199	–	–	262,227,199
Settlement and clearing fee	–	–	263,354,978	263,354,978
Transaction fees	–	116,903,145	–	116,903,145
Data feed fees	–	183,179,832	–	183,179,832
Block sales	–	30,575,642	–	30,575,642
Subscription fees	–	80,136,657	–	80,136,657
Management fee		–	184,692	184,692
Seminar fee	–	–	92,946	92,946
Others	89,993,875	–	60,407,351	150,401,226
	₱666,429,374	₱410,795,276	₱324,039,967	₱1,401,264,617
Timing of revenue recognition				
Transferred at a point in time	₱–	₱147,478,787	₱323,855,275	₱471,334,062
Transferred over time	666,429,374	263,316,489	184,692	929,930,555
	₱666,429,374	₱410,795,276	₱324,039,967	₱1,401,264,617

The contract liabilities primarily relate to the advance consideration received from customers for which revenue is recognized at certain milestone of completion. The significant changes in the contract liabilities balances during the year ended December 31 are as follows:

	2025	2024
Beginning balance	**₱1,199,357,271**	₱1,233,355,809
Increases due to cash received, excluding amounts recognized as revenue during the period	**1,223,166,189**	1,199,357,271
Revenue recognized during the period including the contract liability balance at the beginning of the period	**(1,199,357,271)**	(1,233,355,809)
Ending balance	**₱1,223,166,189**	₱1,199,357,271

24. Other Income (Expenses)

Interest Income

This account consists of interest income from:

	2025	2024	2023
Financial assets at FVOCI (see Note 9)	**₱51,532,742**	₱20,451,412	₱156,277,613
Financial assets at amortized cost (see Note 10)	**46,162,289**	–	–
Cash and cash equivalents:			
Cash equivalents (see Note 7)	**90,918,516**	141,072,398	30,378,182
Cash in banks (see Note 7)	**137,507**	108,486	132,414
Short-term investments	**5,927,429**	40,229,488	12,317,176
Financial assets at FVTPL (see Note 8)	**13,906,262**	13,153,170	15,471,798
Other interest income	**57,736**	53,894	54,881
	₱208,642,481	₱215,068,848	₱214,632,064

Others - net
This account consists of foreign exchange gain (loss) amounting to ₱11.84 million, ₱17.64 million and (₱2.02 million) for the years ended December 31, 2025, 2024 and 2023, respectively.

25. **Cost of Services**

This account consists of:

	2025	2024	2024
Compensation and other related staff costs (see Note 27)	**₱335,329,228**	₱192,729,733	₱196,445,354
Repairs and maintenance	**247,942,550**	148,156,702	135,701,859
Depreciation (see Notes 13 and 17)	**131,296,675**	84,885,341	40,855,937
Communication	**11,439,593**	10,675,699	12,956,910
Taxes and licenses	**65,592,510**	–	–
Outside services	**28,199,751**	–	–
Professional fees	**13,893,940**	–	–
Others (see Note 28)	**38,210,312**	1,407,409	13,785,203
	₱871,904,559	₱437,854,884	₱399,745,263

26. **General and Administrative Expenses**

This account consists of:

	2025	2024	2023
Professional fees	**₱145,599,588**	₱95,336,491	₱85,332,682
Depreciation and amortization (see Notes 13, 14, 17 and 29)	**138,375,505**	141,444,931	113,242,143
Compensation and other related staff costs (see Note 27)	**103,149,864**	70,695,376	58,042,170
Occupancy costs (Note 28)	**54,882,033**	49,199,874	44,839,940
Taxes and licenses	**21,507,699**	18,776,229	7,902,162
Repairs and maintenance	**13,888,372**	6,851,563	8,981,491
Market development	**13,432,549**	8,560,708	8,023,217
Public relations	**7,459,363**	6,423,904	4,536,113
Communication	**4,050,205**	4,252,977	420,388
Insurance	**3,768,515**	3,646,673	3,137,641
Travel and transportation	**3,574,774**	4,222,295	2,961,586
Trading participants' development	**4,984,145**	3,045,331	3,926,186
Office supplies	**4,283,492**	2,474,602	2,413,344
Meetings and conferences	**1,246,307**	1,027,072	955,005
Others	**9,204,239**	7,852,722	5,764,084
	₱529,406,650	₱423,810,748	₱350,478,152

27. Compensation and Other Related Staff Costs

This account consists of:

	2025	2024	2023
Salaries and wages	**₱381,358,457**	₱223,091,403	₱220,822,796
Pension expense (see Note 31)	**23,654,373**	10,581,651	7,314,032
Other employee benefits	**33,466,262**	29,752,055	26,350,696
	₱438,479,092	₱263,425,109	₱254,487,524

Other employee benefits include the ESPP expense amounting to ₱2.99 million, ₱2.65 million and ₱4.44 million in 2025, 2024 and 2023, respectively (see Note 36).

28. Occupancy Costs

This account consists of:

	2025	2024	2023
Condominium rent and dues (see Note 29)	**₱30,805,851**	₱26,261,472	₱25,357,484
Utilities	**31,789,897**	11,878,596	10,809,293
Security and janitorial services	**10,568,164**	9,367,335	9,048,757
	₱73,163,912	₱47,507,403	₱45,215,534

29. Leases

The Group as a Lessee

The Group has lease contracts for data recovery sites, office and parking spaces and transportation equipment used in its operations. Leases of data recovery sites have lease terms between 3 and 5 years, office and parking spaces have lease terms between 5 to 6 years and transportation equipment has a lease term of 5 years. The Group's lease contracts for data recovery sites will be auto-renewed for one year.

The rollforward analysis of the right-of-use asset as at December 31, 2025 and 2024 follows:

	Data Recovery Sites	**Office and Parking Spaces**	**Transportation Equipment**	**Total**
At January 1, 2025	**₱43,232,259**	**₱53,307,731**	**₱4,390,137**	**₱100,930,127**
Additions	**–**	**27,058,607**	**963,654**	**28,022,261**
Depreciation	**(21,131,943)**	**(21,119,692)**	**(1,647,212)**	**(43,898,847)**
At December 31, 2025	**₱22,100,316**	**₱59,246,646**	**₱3,706,579**	**₱85,053,541**

	Data Recovery Sites	Office and Parking Spaces	Transportation Equipment	Total
At January 1, 2024	₱64,364,203	₱4,197,214	₱–	₱68,561,417
Acquired through business combination (see Note 15)	–	51,399,906	4,390,137	55,790,043
Depreciation	(21,131,944)	(2,289,389)	–	(23,421,333)
At December 31, 2024	₱43,232,259	₱53,307,731	₱4,390,137	₱100,930,127

The following are the amounts recognized in the consolidated statements of comprehensive income for the years ended December 31:

	2025	2024	2023
Depreciation expense of right-of-use assets (see Note 25)	**₱43,898,847**	₱23,421,333	₱23,421,333
Interest expense on lease liabilities	**7,508,207**	4,400,277	5,750,173
	₱51,407,054	₱27,821,610	₱29,171,506

The rollforward analysis of lease liabilities as at December 31 as follows:

	2025	2024
At January 1	**₱109,406,120**	₱78,968,482
Acquired through business combination (see Note 15)	–	52,594,501
Additions	**28,022,261**	–
Interest expense	**7,508,207**	4,400,277
Payments	**(50,347,186)**	(26,557,140)
At December 31	**94,589,402**	109,406,120
Less current portion	**29,217,481**	49,389,227
Noncurrent portion	**₱65,371,921**	₱60,016,893

Shown below is the maturity analysis of the undiscounted lease payments as at December 31, 2024 and 2023:

	2025	2024
1 year	**₱39,947,925**	₱45,470,510
More than 1 year to 2 years	**28,208,206**	48,898,094
More than 2 years to 3 years	**16,827,340**	13,325,239
More than 3 years to 4 years	**6,086,130**	13,710,348
More than 5 years	–	5,755,155

30. Income Tax

The provision for (benefit from) income tax consists of:

	2025	2024	2023
Current - RCIT	**₱361,395,991**	₱113,405,620	₱158,927,688
Final	**37,836,415**	35,001,999	43,282,085
Deferred	**(15,727,730)**	17,119,473	(3,101,443)
	₱383,504,676	₱165,527,092	₱199,108,330

The components of the net deferred tax assets are as follows:

	2025				2024			
	PSE	**CMIC**	**PDSHC**	**Total**	PSE	CMIC	PDSHC	Total
Deferred tax assets:								
Contract liabilities	**₱303,549,676**	**₱–**	**₱1,973,370**	**₱305,523,046**	₱296,583,892	₱–	₱1,712,425	₱298,296,317
Lease liabilities	**8,368,227**	**1,919,584**	**12,176,023**	**22,463,835**	13,609,986	2,735,697	13,148,625	29,494,308
Unamortized past service costs	**3,509,985**	**–**	**–**	**3,509,985**	3,536,707	–	–	3,536,707
Allowance for impairment losses on receivables	**714,490**	**–**	**374,719**	**1,089,209**	714,490	–	388,229	1,102,719
Long term sick leave	**691,671**	**–**	**–**	**691,671**	933,904	–	–	933,904
Accrued expenses	**466,222**	**–**	**–**	**466,222**	466,222	–	–	466,222
Unrealized foreign exchange loss	**–**	**–**	**–**	**–**	–	–	–	–
Pension liability	**–**	**1,250,992**	**13,518,579**	**14,769,570**	–	1,122,803	11,989,481	13,112,284
NOLCO	**–**	**–**	**–**	**–**	–	462,433	–	462,433
MCIT	**–**	**–**	**–**	**–**	–	341,536	–	341,536
Deferred fines and penalties	**8,928,572**	**–**	**–**	**8,928,572**				
Others	**–**	**–**	**381,214**	**381,214**	–	–	55,591	55,591
	326,228,843	**3,170,576**	**28,423,905**	**357,823,324**	315,845,201	4,662,469	27,294,351	347,802,021
Deferred tax liabilities:								
Right-of-use asset	**5,525,079**	**1,824,973**	**12,651,478**	**20,001,530**	10,808,065	2,689,252	13,948,428	27,445,745
Pension asset	**15,456,581**	**–**	**–**	**15,456,581**	14,422,131	–	–	14,422,131
Unrealized foreign exchange gains	**1,907,843**	**–**	**2,821,935**	**4,729,778**	4,469,427	–	1,639,907	6,109,334
Security deposit - PFRS 9	**31,527**	**15,749**	**–**	**47,276**	46,189	23,018	–	69,207
Others	**–**	**–**	**19,786**	**19,786**	–	–	79,840	79,840
	22,921,030	**1,840,722**	**15,493,199**	**40,254,951**	29,745,812	2,712,270	15,668,175	48,126,257
	₱303,307,813	**₱1,329,854**	**₱12,930,706**	**₱317,568,373**	₱286,099,389	₱1,950,199	₱11,626,176	₱299,675,764

Total movement in net deferred tax asset accounted under OCI for the Parent Company, CMIC and PDSHC amounted to ₱2.11 million and ₱1.73 million in 2025 and 2024, respectively (see Note 31).

Optional Standard Deduction (OSD)
Under the OSD method in computing taxable income, corporations may elect a standard deduction in an amount equivalent to 40% of gross income, as provided by law, in lieu of the itemized allowed deductions. The availment of the OSD method also affected the recognition of several deferred tax assets and liabilities. Deferred tax assets and liabilities, for which the related income and expense are not considered in determining gross income for income tax purposes, are not recognized. This is because the manner by which SCCP expects to recover or settle the underlying assets and liabilities, for which the deferred tax assets and liabilities were initially recognized, would not result to any future tax consequence under the OSD method. Meanwhile, deferred tax assets and liabilities, for which the related income and expense are considered in determining gross income for income tax purposes, are recognized only to the extent of their future tax consequence under OSD method. Hence, the tax base of these deferred tax assets and liabilities is reduced by the 40% allowable deduction provided for under the OSD method.

SCCP elected the OSD method in 2025, 2024 and 2023 in computing its taxable income. SCCP's net deferred tax assets, which were not recognized due to the use of the OSD method amounted to ₱3.65 million and ₱3.36 million as at December 31, 2025 and 2024, respectively.

Premier's net deferred tax assets, which were not recognized due to taxable loss amounted to ₱7.73 million and ₱5.98 million as at December 31, 2025 and 2024, respectively.

The reconciliation between the statutory tax rates and the effective tax rates on income before income tax is as follows:

	2025	2024	2023
Provision for income tax at statutory income tax rate	**25.00%**	25.00%	25.00%
Adjustments for:			
Nontaxable income	**(0.57%)**	(16.90%)	(0.66%)
Benefit from using OSD	**(0.99%)**	(0.88%)	(1.25%)
Equity in net income of an associate	–	(1.80%)	(1.88%)
Income subjected to final tax	**(0.58%)**	(3.25%)	(1.34%)
Nondeductible expenses	**1.07%**	–	–
Movement in unrecognized DTA of a subsidiary	**(0.07%)**	9.89%	0.75%
Effective income tax rate	**23.86%**	12.06%	20.62%

31. Retirement Plan and Other Employee Benefits

Retirement Plan

The Parent Company and PDSHC have a funded noncontributory defined benefit retirement plan while SCCP and CMIC have unfunded noncontributory defined benefit retirement plans. The benefits are accumulated based on years of service and compensation per year of credited service.

The principal actuarial assumptions used in determining retirement liabilities as at December 31, 2025 and 2024 are shown below:

	Parent Company		**SCCP**		**CMIC**		**PDSHC**	
	2025	2024	**2025**	2024	**2025**	2024	**2025**	2024
Discount rate	**6.39%**	**6.38%**	**6.35%**	**6.11%**	**6.38%**	**5.91%**	6.17% to 6.33%	6.11% to 6.13%
Future salary increases	**5.00%**	**5.00%**	**5.00%**	**5.00%**	**5.00%**	**5.00%**	6%	6%

The latest actuarial valuation studies of the retirement plan of the Parent Company, SCCP, CMIC and PDSHC were made as at December 31, 2025.

The pension expense included under “Compensation and other related staff costs” account under “Cost of services” and “General and administrative expenses” in the consolidated statements of comprehensive income are as follows:

	2025	2024	2023
Current service cost - net	**₱24,208,836**	₱12,911,973	₱10,548,545
Past service cost – plan amendment	**(105,468)**	–	–
Net interest income	**(448,995)**	(2,330,322)	(3,234,513)
	₱23,654,373	₱10,581,651	₱7,314,032

The component of remeasurements of the Parent Company, SCCP and CMIC in the statements of comprehensive income is as follows:

	2025	2024	2023
Remeasurement loss on pension asset/liability*	**₱10,480,618**	₱6,355,395	₱20,166,322
Tax effect (see Note 27)	**(1,971,634)**	(1,588,849)	(5,008,707)
	₱8,508,984	₱4,766,546	₱15,157,615

**Includes remeasurement gains on changes in the effect of asset ceiling from Parent amounting to ₱14.19 million, ₱12.07 million and ₱10.79 million as at December 31, 2025, 2024 and 2023, respectively.*

The Parent Company's share in remeasurement gain on pension benefits of the associate is ₱0.07 million both in 2024 and 2023.

The pension (asset) liability included in the consolidated statements of financial position as at December 31, 2025 and 2024 are as follows:

	2025				2024			
	Parent Company	**SCCP**	**CMIC**	**PDSHC**	Parent Company	SCCP	CMIC	PDSHC
	Pension Asset	**Pension Liability**	**Pension Liability**	**Pension Liability**	Pension Asset	Pension Liability	Pension Liability	Pension Liability
Present value of benefit obligation	**₱163,216,329**	**₱23,928,446**	**₱5,003,969**	**₱138,393,845**	₱157,253,332	₱22,113,163	₱4,491,215	₱119,891,167
Fair value of plan assets	**(239,227,919)**	–	–	**(117,506,151)**	(227,007,384)	–	–	(95,986,588)
Effect of asset ceiling	**14,185,267**	–	–	–	12,065,530	–	–	–
	(₱61,826,323)	**₱23,928,446**	**₱5,003,969**	**₱20,887,694**	(₱57,688,522)	₱22,113,163	₱4,491,215	₱23,904,579

Changes in the present value of the consolidated defined benefit obligation are as follows:

	2025				2024			
	Parent Company	**SCCP**	**CMIC**	**PDSHC**	Parent Company	SCCP	CMIC	PDSHC
	Pension Asset	**Pension Liability**	**Pension Liability**	**Pension Liability**	Pension Asset	Pension Liability	Pension Liability	Pension Liability
Balance at beginning of year	**₱157,253,332**	**₱22,113,163**	**₱4,491,215**	**₱119,891,167**	₱140,528,260	₱20,380,016	₱3,183,597	₱–
Acquired through business combination (see Note 15)	**–**	**–**	**–**	**–**	–	–	–	119,891,167
Current service cost	**11,864,905**	**1,344,670**	**546,183**	**10,453,078**	11,363,337	1,131,035	417,601	–
Interest cost on benefit obligation	**9,608,179**	**1,124,365**	**265,431**	**7,309,170**	8,965,703	1,245,219	210,436	–
Past Service Cost – Plan Amendment	**–**	**(105,468)**	**–**	**–**	–	–	–	–
Actual benefits paid	**(19,393,379)**	**–**	**–**	**(486,982)**	(4,901,193)	(269,325)	–	–
Actuarial losses (gains) arising from:								
Changes in financial assumptions	**(4,688,641)**	**(554,146)**	**(251,517)**	**(1,251,080)**	4,297,191	–	347,886	–
Experience adjustments	**8,571,933**	**5,862**	**273,591**	**2,478,492**	(2,999,966)	(373,782)	220,775	–
Changes in demographic assumptions	**–**	**–**	**(320,934)**	**–**	–	–	110,920	–
Balance at end of year	**₱163,216,329**	**₱23,928,446**	**₱5,003,969**	**₱138,393,845**	₱157,253,332	₱22,113,163	₱4,491,215	₱119,891,167

The movements in the fair value of plan assets recognized by the Parent Company and PDSHC are as follows:

	2025		2024	
	Parent Company	**PDSHC**	Parent Company	PDSHC
Balance at beginning of year	**₱227,007,384**	**₱95,986,588**	₱203,466,320	₱–
Acquired through business combination (see Note 15)	**–**	**–**	–	95,986,588
Interest income	**13,929,470**	**5,850,047**	13,440,355	–
Actual benefits paid	**(19,393,379)**	**(486,982)**	(4,901,193)	–
Remeasurement loss	**(3,650,617)**	**(2,179,117)**	(4,294,389)	–
Contributions	**21,335,061**	**18,335,615**	19,296,291	–
Balance at end of year	**₱239,227,919**	**₱117,506,151**	₱227,007,384	₱95,986,588

The assets of the Parent Company's retirement plan are being held by a trustee bank pursuant to a trust agreement dated August 10, 2011. The investing decisions of the retirement plan are made by Board of Trustees of the retirement plan.

The following table presents the carrying amounts and estimated fair values of the assets of the Parent Company's and PDSHC's retirement plans as at December 31, 2025 and 2024:

	2025			
	Parent Company		**PDSHC**	
	Carrying Amount	**Fair Value**	**Carrying Amount**	**Fair Value**
Cash and cash equivalents	**₱22,277,619**	**₱22,277,619**	**₱23,298,455**	**₱23,298,455**
Investment in government securities, bonds and other debt instruments	**171,579,837**	**171,579,837**	**86,085,366**	**86,085,366**
Investment in equity securities	**43,183,065**	**43,183,065**	**6,989,026**	**6,989,026**
Others	**2,187,398**	**2,187,398**	**1,175,211**	**1,175,211**
Trust fees payable	**–**	**–**	**(41,907)**	**(41,907)**
	₱239,227,919	**₱239,227,919**	**₱117,506,151**	**₱117,506,151**

	2024			
	Parent Company		PDSHC	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Cash and cash equivalents	₱26,546,335	₱26,546,335	₱8,843,062	₱8,843,062
Investment in government securities, bonds and other debt instruments	159,494,376	159,494,376	77,292,157	77,292,157
Investment in equity securities	38,985,690	38,985,690	8,176,884	8,176,884
Others	1,980,983	1,980,983	1,675,577	1,675,577
Trust fees payable	–	–	(1,092)	(1,092)
	₱227,007,384	₱227,007,384	₱95,986,588	₱95,986,588

The Parent Company's retirement plan assets and investments consist of the following:

- Cash and cash equivalents include regular savings and time deposits.
- Investment in equity securities consists of listed equity securities.
- Investments in government securities, consisting of retail treasury bonds and fixed rate treasury notes that bear interest ranging from 2.56% to 8.625% in 2022 with maturities from March 2024 to March 2028. In 2021, government securities were composed of fixed-income treasury notes that bear interest ranging from 2.17% to 6.25% that mature in April 2021 to March 2032.

- Investments in debt and other securities consist of long-term corporate bonds, which bear interest ranging from 5.09% to 8.01% in 2022 that will mature in 2023 to 2029 and 4.5% to 6.85% in 2021 that will mature in 2022 to 2026.
- Other financial assets held by the retirement plan are primarily accrued interest income on cash deposits and debt securities and dividend receivables.

As at December 31, 2025 and 2024, the sensitivity analysis below has been determined by remeasuring the defined benefit obligation at the reporting date after first adjusting one of the current assumptions that was reasonably possible at the valuation date while all other assumptions remained unchanged. It should be noted that the changes assumed to be reasonably possible at the valuation date are open to subjectivity, and do not consider more complex scenarios in which changes other than those assumed may be deemed to be more reasonable.

	Increase (Decrease) in Basis Points	**Increase (Decrease) in Defined Benefits Obligation**	
		2025	2024
Discount rate	100	**(₱145,638,846)**	(₱126,477,499)
	(100)	**163,469,255**	143,641,293
Future salary increases	100	**164,025,366**	144,115,714
	(100)	**(145,461,676)**	(126,332,164)

To efficiently manage the retirement plan, the Parent Company ensures that the investment positions are managed in accordance with its asset-liability matching strategy to achieve that long-term investments are in line with the obligations under the retirement scheme. This strategy aims to match the plan assets to the retirement obligations by investing in long-term fixed interest securities (i.e., government or corporate bonds) with maturities that match the benefit payments as these fall due and in the appropriate currency. The Parent Company actively monitors how the duration and expected yield of the investments are matching the expected cash outflows arising from the retirement obligations. In view of this, investments are made in reasonably diversified portfolio, such that the failure of any single investment would not have a material impact on the overall level of assets.

As at December 31, 2025 and 2024, a large portion of the plan assets consists of equity and debt securities although the trustee also invests in cash and cash equivalents. The Parent Company believes that debt securities offer the best returns over long-term with an acceptable level of risk. The majority of debt securities are in government securities which have relatively low risk.

There has been no change in the Parent Company's strategies to manage its risks from previous periods.

On the other hand, SCCP's retirement plan is non-contributory and of the final salary defined benefit type. The plan provides a retirement benefit equal to one hundred fifty percent (150%) of the plan salary for every year of credited service. Benefits are paid in lump sum directly by SCCP upon retirement or separation in accordance with the terms of the plan.

Moreover, CMIC does not have an established retirement fund and only conforms to the minimum regulatory benefit under the Retirement Pay Law (RA No. 7641) which is of the defined benefit type and provides a retirement benefit equal to 22.5 days pay for every year of credited service. The regulatory benefit is paid directly by the Company in a lump sum upon retirement.

In addition, the PDSHC retirement plan is in the form of a trust administered by a trustee bank. The Group does not have transactions with its retirement plan other than the normal contributions and benefits payment coming from the retirement plan.

The maturity profile of undiscounted expected benefit payments from the plan for the next 10 years follows as at December 31, 2025 and 2024:

	2025	2024
More than one year to five years	**₱148,520,361**	₱122,122,223
More than five years to ten years	**227,322,696**	247,006,638
More than ten years	**274,115,951**	–
	₱649,959,008	₱369,128,861

The weighted average duration of the defined benefit obligations as at December 31, 2025 are 10.1 years, 9.5 years, 10.4 years and 6.79 to 10.43 years for the Parent Company, SCCP, CMIC and PDSHC respectively.

The weighted average duration of the defined benefit obligations as at December 31, 2024 are 10.4 years, 10.4 years, 11.7 years and 7.36 to 12.08 years for the Parent Company, SCCP, CMIC and PDSHC respectively.

Other Employee Benefits
Other employee benefits amounted to ₱2.77 million and ₱3.77 million as at December 31, 2025 and 2024, respectively. These pertain to accumulated sick leave entitlement which are expected to be settled beyond one year after the end of the reporting date.

32. Basic/Diluted Earnings Per Share (EPS)

Basic EPS are calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS amounts are calculated by dividing the net income attributable to ordinary equity holders of the Parent Company by weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares (ESPP shares) into ordinary shares.

The following reflects the diluted EPS computations:

		2025	2024	2023
(a)	Net income attributable to equity holders of the Parent Company	**₱1,155,790,887**	₱1,207,217,494	₱773,685,724
(b)	Weighted average number of shares – basic	**81,911,357**	81,849,113	81,664,293
	Weighted average number of shares outstanding under the ESPP (see Note 36)	–	–	–
(c)	Adjusted weighted average shares - diluted	**81,911,357**	81,849,113	81,664,293
EPS:				
	Basic (a/b)	**₱14.11**	₱14.75	₱9.47
	Diluted (a/c)	**14.11**	14.75	9.47

33. Related Party Transactions

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control. Related parties may be individuals or corporate entities.

The Group, in its normal course of business, has transactions with related parties. Settlement of related party transactions normally occurs in cash.

The details of transactions with related parties are as follows:

Category	Year	Amount/ Volume of Transactions	Outstanding Receivables	Terms	Conditions
Stockholders					
Trading participants -					
Revenues					
Trading-related fees (see Notes 11 and 23):					
Transaction	**2025**	**₱592,644,351**	**₱11,633,086**	Collectible monthly	Unsecured; with
	2024	126,227,439	9,735,724	through cash,	impairment
	2023	116,903,145	7,379,732	noninterest-bearing	
Block sales	**2025**	**33,392,404**	**3,428,102**	Collectible monthly	Unsecured;
	2024	23,263,072	2,059,512	through cash,	no impairment
	2023	30,575,642	1,509,463	noninterest-bearing	
Subscription	**2025**	**104,978,415**	**–**	Collectible monthly	Unsecured;
	2024	88,774,909	–	through cash,	no impairment
	2023	80,136,657	–	noninterest-bearing	
Service fees (see Notes 11 and 23)	**2025**	**317,993,964**	**20,689,033**	Collectible monthly	Unsecured;
	2024	266,947,342	20,689,033	through cash,	no impairment
	2023	263,354,978	17,472,770	noninterest-bearing	
Other revenues (see Notes 11 and 23)	**2025**	**25,835,896**	**–**	Collectible monthly	Unsecured;
	2024	25,914,398	–	through cash,	no impairment
	2023	55,922,886	–	noninterest-bearing	
Subsidiary of Associate					
Philippine Dealing and Exchange Corp (PDEX)					
Other revenues				Collectible monthly	
(Notes 11 and 23)	**2025**	**–**	**–**	through cash,	Unsecured;
	2024	–	–	noninterest-bearing	no impairment
	2023	1,663,200	–		
Philippine Depository & Trust Corporation (PDTC)					
Other revenues				Collectible monthly	
(Notes 10 and 21)	**2025**	**–**	**–**	through cash,	Unsecured;
	2024	–	–	noninterest-bearing	no impairment
	2023	3,088,800	–		

The receivable from trading participants included in the consolidated statements of financial position are gross of allowance for impairment losses as at December 31, 2025 and 2024. The total receivable from trading participants of ₱28.51 million as at December 31, 2025 is composed of outstanding related party receivables amounting to ₱15.06 million and SEC fees of ₱13.45 million. The total receivable from trading participants of ₱43.01 million as at December 31, 2024 is composed of outstanding related party receivables amounting to ₱32.48 million and SEC fees of ₱10.53 million.

Other revenues include trading participants' maintenance fee, recoveries from printing of data transaction report, lease of trading floor, cancellation of matched orders, integration of PDEX's fixed income module in the trading system, and other fees.

The Exchange as Trustee of the Philippine Stock Exchange Foundation, Inc. (the Foundation)
On December 10, 2019, the Board of Trustees (BOT) of the Foundation approved the dissolution of the Foundation by shortening its corporate term until January 31, 2020. The BOT also approved that, upon expiration of the Foundation's corporate term, all of the Foundation's assets and properties shall be transferred and conveyed to the Exchange which is appointed as trustee of the Foundation for a period of three years (the 3-year winding up period). During the 3-year winding up period, the Exchange, through its BOD or its duly authorized representative, is authorized to: (1) file, process, and obtain the necessary government or regulatory approvals for the closure and dissolution of the Foundation; (2) prosecute and defend suits by or against the Foundation; (3) manage the remaining assets of the Foundation as the Exchange may deem fit, pending turnover to a foundation of the Exchange's choice dedicated to religious, charitable, scientific, athletic, cultural, or educational purposes; (4) dispose of, convey, or transfer assets of the Foundation exclusively for purposes of paying the Foundation's outstanding liabilities and turning over to a qualified foundation as aforementioned; (5) close the affairs of the Foundation ; and (6) perform all acts and execute all documents, agreements, papers and forms, without need of further approval or action from the Company, as may be necessary to implement the foregoing.

Compensation of Key Management Personnel
Compensation of key management personnel (covering officer positions starting from Assistant Vice President and up) included under "Compensation and other related staff costs" account under "Cost of services" and "General and administrative expenses" in the consolidated statements of comprehensive income is as follows:

	2025	2024	2023
Short-term employee benefits	**₱140,210,512**	₱141,780,503	₱97,124,384
Post-employment pension and medical benefits	**3,693,494**	2,758,343	578,640
Employee stock purchase plan (Notes 25 and 36)	**2,977,607**	2,554,877	3,676,729
	₱146,881,613	₱147,093,723	₱101,379,753

Short-term employee benefits include salaries, paid annual leave, vacation and sick leave, profit sharing and bonuses, and non-monetary benefits.

Approval Thresholds on Related Party Transactions
All potential related party transactions shall be endorsed to the management committee by the user division for proper review, documentation and approval by the relevant authorities except for transactions in the ordinary course of business, employee-related matters, share transactions, funding agreement with CMIC and renewal of an existing contract or agreement with the same terms and conditions. A related party transaction is deemed material if it, individually, or in aggregate over a

twelve (12)-month period with the same related party reaches 10% or higher of the total consolidated assets based on the latest audited consolidated financial assets.

34. Operating Segments

In 2023, the Group has one reportable business segment which is the equity, clearing and settlement business. Starting 2024, the group has two reportable business segments which are the equity, clearing and settlement business and the depository and fixed income business, upon acquisition of additional interest in PDSHC (see Note 15). The equity, clearing and settlement business provides trading, clearing, depository and information services for the equity market. The depository and fixed income business provides platform for the issuance, trading, dealing and exchange of fixed income securities and monetary instruments. The Group also has one geographical segment and derives all its revenues from domestic operations. The financial information about the sole business segment is presented in the consolidated financial statements.

The management, the chief operating decision maker of the Group, monitors the operating results of its business segment for the purpose of making decisions about resource allocation and performance assessment. The segment performance is evaluated based on operating profit or loss and is measured consistently with the income before income tax in the consolidated financial statements.

The amount of segment assets and liabilities and segment profit or loss are based on measurement principles that are similar to those used in measuring the assets and liabilities and profit or loss in the consolidated financial statements, which is in accordance with PFRS Accounting Standards.

Inter-segment Transactions

Transfer prices between business segments are set on an arm's length basis similar to transactions with nonrelated parties. Such transfers are eliminated in the consolidated financial statements.

Business Segment Data

	2025			
	Equity, Clearing and Settlement Business	**Depository and Fixed Income Business**	**Eliminations**	**Consolidated Balances**
Revenue:				
External customers	**₱1,648,980,084**	**₱1,193,623,156**	**₱–**	**₱2,842,603,240**
Inter-segment	–	–	–	–
	₱1,648,980,084	**₱1,193,623,156**	**₱–**	**₱2,842,603,240**
Segment results:				
Income before income tax	**₱852,152,684**	**₱755,339,738**	**₱–**	**₱1,607,492,422**
Provision for income tax	**(198,162,250)**	**(185,342,426)**	–	**(383,504,676)**
Net income	**₱653,990,434**	**₱569,997,312**	**₱–**	**₱1,223,987,746**
Equity holders of the Parent	**₱5,346,088,873**	**₱1,984,273,858**	**(₱1,965,185,639)**	**₱5,365,177,092**
Non-controlling interests	–	**29,627,401**	**121,935,352**	**151,562,753**
Segment assets	**₱8,257,006,051**	**₱2,341,606,198**	**(₱1,843,250,287)**	**₱8,755,361,962**
Segment liabilities	**₱2,910,917,178**	**₱327,704,939**	–	**₱3,238,622,117**
Other information (see Note 13):				
Capital expenditures	**₱188,728,273**	**₱15,500,250**	**₱–**	**₱204,228,523**
Depreciation and amortization	**164,858,143**	**32,631,523**	–	**197,489,666**

	2024			
	Equity, Clearing and Settlement Business	Depository and Fixed Income Business	Eliminations	Consolidated Balances
Revenue:				
External customers	₱1,398,089,806	₱–	₱–	₱1,398,089,806
Inter-segment	–	–	–	–
	₱1,398,089,806	₱–	₱–	₱1,398,089,806
Segment results:				
Income before income tax	₱1,372,744,586	₱–	₱–	₱1,372,744,586
Provision for income tax	(165,527,092)	–	–	(165,527,092)
Net income	₱1,207,217,494	₱–	₱–	₱1,207,217,494
Equity holders of the Parent	₱5,941,465,730	₱1,425,529,813	(₱1,425,529,813)	₱5,941,465,730
Non-controlling interests	–	20,974,234	652,058,717	673,032,951
Segment assets	₱7,528,704,833	₱1,782,329,127	(₱773,471,096)	₱8,537,562,864
Segment liabilities	₱1,587,239,103	₱335,825,080	₱–	₱1,923,064,183
Other information:				
Capital expenditures	₱142,723,268	₱–	₱–	₱142,723,268
Depreciation and amortization	186,210,077	–	–	186,210,077

For the years ended December 31, 2025, 2024 and 2023, there were no revenue transactions with a single external customer which accounted for 10% or more of the consolidated revenue from external customers. The main revenues of the Group are substantially earned from the Philippines.

The Company disaggregates its revenue information in the same manner as it reports its segment information.

35. Contingencies

SCCP, as the central counterparty to stock exchange transactions, has contingent liabilities pertaining to outstanding trades as at December 31, 2025 and 2024. Details of stock exchange transactions outstanding as at reporting dates are as follows:

	2025	2024
Value of shares not yet delivered (net selling)	**₱4,615,980,786**	₱4,362,571,973
Amount of purchases unpaid (due clearing)	**1,718,568,548**	1,642,941,679
	₱6,334,549,334	₱6,005,513,652

	2025	2024
Value of shares not yet delivered (net selling)	**$–**	$8,120
Amount of purchases unpaid (due clearing)	**–**	8,120
	$–	$16,240

All transactions outstanding as at December 31, 2025 and 2024 were subsequently settled in January 2026 and 2025, respectively. Accordingly, no failed trades occurred from these transactions.

The Markets and Securities Regulation Department (MSRD) of the Securities and Exchange Commission (SEC), in its resolutions dated April 29, 2022 (MSRD-MID Case Nos. 1-2022 and 2-2022) and September 7, 2022 (MSRD-MID Case Nos. 18-2022 to 76-2022), cited CMIC for the alleged non-compliance with its own rules in contravention of Rule 40.2 of the 2015 Securities

Regulation Code (SRC) and penalized CMIC in the total amount of ₱2.735 million. CMIC filed an appeal with the SEC En Banc on June 9, 2022 and September 21, 2022, respectively.

Further, the MSRD of the SEC, in its decision dated November 16, 2022 (MSRD-MID Case Nos. 121-2022 to 166-2022), cited CMIC anew for the alleged non-compliance with its own rules in contravention of Rule 40.2 of the 2015 SRC and penalized CMIC in the amount of ₱2.30 million. On March 20, 2023, CMIC filed an appeal with the SEC En Banc.

Finally, the MSRD of the SEC, in a decision dated April 11, 2023 (MSRD-MID Case Nos. 174-2022 to 183-2022), cited CMIC anew for the alleged non-compliance with its own rules in contravention of Rule 40.2 of the 2015 Securities Regulation Code (SRC) and penalized CMIC in the amount of ₱0.50 million. On April 26, 2023, CMIC filed an appeal with the SEC En Banc.

As of February 25, 2026, the SEC En Banc has not rendered a decision on the appeals of CMIC dated June 9, 2022 (MSRD-MID Case Nos. 1-2022 and 2-2022), September 21, 2022 (MSRD-MID Case Nos. 18-2022 to 76-2022), and April 26, 2023 (MSRD-MID Case Nos. 174-2022 to 183-2022).

36. **Employee Stock Purchase Plans**

2021 ESPP

On October 1, 2020, the Board of Directors of the Exchange approved the renewal of the ESPP which will have a duration of three (3) years from 2021 to 2023.

On November 2, 2020, the Stockholders, by a vote of the majority of the outstanding capital stock registered, approved the renewal of the ESPP and the amendment of the holding period to two (2) years from the date of purchase.

The proposed ESPP has the following terms and conditions:

a. the plan shall be effective from the adoption date until December 31, 2023;

b. the number of shares allotted for the offering is 300,000 shares or about 0.37% of the outstanding capital stock of the Parent Company as of December 31, 2020. Each offering shall consist of 100,000 shares;

c. the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Head of Market Operations Division of the Parent Company, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;

d. all Officers and employees, who are in good standing with the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;

e. offer date shall be annually for a period commencing on the year immediately after the SEC approval is obtained until 2023. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;

f. offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the PSE shares for the month preceding the offer date less a discount of twenty percent (20%). Payment terms will be through monthly salary deduction over a period of thirty-six (36) months subject to payroll guidelines on net take home pay; provided that, a participant shall have an option to fully pay the Subscription Price on the 24th month from signing of the stock purchase agreement;

g. a mandatory holding period of two (2) years from the date of subscription shall be implemented; subject to full payment of the Subscription Price of the ESPP shares at the end of the Mandatory Holding Period. If a Participant does not fully pay the balance of the Subscription Price at the end of the 2-year period from signing of the stock purchase agreement, the Mandatory Holding Period shall be extended until full payment of the Subscription Price of the ESPP shares but not later than three (3) years from execution of the stock purchase agreement;

h. one-third (1/3) of the subscription will vest every year such that 33.3% of the ESPP shares subscribed by him/her will vest on the 12th month after the date of execution of the stock purchase agreement covering the ESPP shares; 66.7% on the 24th month, and 100% on the 36th month from execution of the stock purchase agreement;

i. if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; on the other hand, the resigned employee shall be required to return to the Parent Company the covered ESPP shares including the dividends earned thereon. However, if the Participant described in the foregoing has completed at least 12 months of installment payments, is resigning or is separated after six (6) months of the current vesting period and is in good standing, the said Participant has the option to buy the remaining shares of the current vesting period provided he pays in full within thirty (30) days from date of separation. However, the Mandatory Holding Period remains applicable; and

j. in case an employee dies pending completion of the full payment over the 36-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

<u>2024 ESPP</u>
On June 14, 2023, the Board of Directors of the Exchange approved the renewal of the ESPP which will have a duration of three (3) years from 2024 to 2026.

On July 6, 2024, the Stockholders, by a vote of the stockholders representing two-thirds (2/3) of the Outstanding Capital Stock, approved the Renewal of the ESPP whereby a total of 300,000 shares will be offered to eligible employees of the Company over a period of three (3) years from 2024 to 2026 with the same features as that of the 2021-2023 ESPP.

The movement in the number of ESPP shares is as follows:

	2024 ESPP	2021 ESPP	2018 ESPP
Total number of ESPP shares granted:			
2016	–	–	–
2017	–	–	–
2018	–	–	100,000
2019	–	–	100,000
2020	–	–	100,000
2021	–	100,000	–
2022	–	100,000	–
2023	–	100,000	–
2024	100,000	–	–
2025	100,000		
Availed shares in:			
2016	–	–	–
2017	–	–	–
2018	–	–	(82,123)
2019	–	–	(64,326)
2020	–	–	(144,427)
2021	–	(100,000)	(9,124)
2022	–	(80,846)	–
2023	–	(119,154)	–
2024	(100,000)	–	–
2025	(100,000)		
Forfeited shares in 2017	–	–	–
Expired shares in 2017	–	–	–
Outstanding ESPP shares as at December 31, 2025	–	–	–

Total additional paid-in capital arising from ESPP amounted to ₱15.73 million and ₱25.23 million as at December 31, 2025 and 2024, respectively. Employee benefit expense arising from ESPP amounted to ₱2.99 million, ₱2.65 million and ₱4.44 million in 2025, 2024 and 2023, respectively.

In 2025, 70,685 shares from the offering for 2022 ESPP with a subscription price amounting ₱12.07 million have vested following the completion of the three (3) year mandatory period. In addition, 795 shares were vested from resigned employees in 2025. The said shares were issued to the employees recorded in the "Capital stock" and "Additional paid-in capital" accounts in the 2025 statement of changes in equity (see Note 22).

In 2024, 168,123 shares from the two (2) tranches offering for 2024 ESPP with a subscription price amounting 20.78 million have vested following the completion of the three (3) year mandatory period. In addition, 10,222 shares were vested from resigned employees in 2024. The said shares were issued to the employees recorded in the "Capital stock" and "Additional paid-in capital" accounts in the 2024 statement of changes in equity (see Note 22).

In 2023, 63,484 shares from the two (2) tranches offering for 2020 ESPP with a subscription price amounting 8.39 million have vested following the completion of the three (3) year mandatory period. In addition, 4,499 shares were vested from resigned employees in 2023. The said shares were issued to the employees and were recorded in the "Capital stock" and "Additional paid-in capital" accounts in the 2023 statement of changes in equity (see Note 22).

The exercise prices of the shares granted during 2023 range from ₱133.74 to ₱137.08. The fair value of shares granted based on the Exchange's daily stock quotation amounted to ₱166 to ₱186.

The exercise prices of the shares granted during 2024 amounted to ₱139.15. The fair value of shares granted based on the Exchange's daily stock quotation amounted to ₱183.00

The exercise prices of the shares granted during 2025 amounted to ₱138.50. The fair value of shares granted based on the Exchange's daily stock quotation amounted to ₱181.00.

37. Client Monies

Clearing and Trade Guaranty Fund (CTGF)
The CTGF is a risk management tool designed to protect the market against the settlement risks of trading participants. Each active trading participant's monthly contribution is equivalent to 1/500 of 1% of the members' trade value, net of block sales and cross transactions of the same flag.

The CTGF was presented off balance sheet and was not included within the noncurrent assets and noncurrent liabilities in the consolidated statements of financial position since these are not assets and liabilities of SCCP. This presentation is to better reflect the clearing members' contribution as trust monies and does not result in a change in net assets of SCCP.

The CTGF consists of:

	2025	2024
Principal contributions from:		
Trading participants:		
Balance at beginning of year	**₱903,459,128**	₱937,479,397
Contributions	**49,207,203**	(34,020,269)
Balance at end of year	**952,666,331**	903,459,128
The Parent Company	**80,000,000**	80,000,000
	1,032,666,331	983,459,128
Accumulated income:		
Balance at beginning of year	**656,236,767**	584,574,721
Interest income - net of management fee of ₱1.77 million and ₱1.63 million in 2025 and 2024, respectively	**74,117,431**	71,662,046
Balance at end of year	**730,354,198**	656,236,767
Net unrealized gain on financial assets at FVOCI	**7,699,708**	(12,067,601)
	738,053,906	644,169,166
	₱1,770,720,237	₱1,627,628,294

Contributions
In order for the SCCP to effectively implement its Fails Management function, the CTGF must be adequate to cover any unsettled trade by any member on any settlement day. Fails Management aims to settle a failed trade due to nonpayment of cash and/or nondelivery of securities by clearing members. In this regard, SCCP continuously builds up the CTGF through the monthly contributions collected from the clearing members and collection of initial contributions from new and returning clearing members.

On May 10, 2018 that during its meeting held on March 13, 2018, the Commission en banc resolved to approve SCCP's proposed amendments to SCCP Rule 5.2 and Operating Procedure 4.3.1.3, making contributions to the Clearing Fund refundable as trade-related assets to a Clearing Member upon cessation of business of the Clearing Member and/or upon termination of its membership with the SCCP, subject to the conditions mentioned above. The return of contributions shall be made after a reasonable processing time. SCCP Management notified its Clearing Members of the said approval by the Commission through Memo for Brokers No. 01-0718 dated July 25, 2018. The said revisions to SCCP Rule 5.2 and Operating Procedure 4.3.1.3 became effective on August 1, 2018.

Under the SCCP's rules, the CTGF may only be invested in the following:

a. Securities issued or guaranteed by the Republic of the Philippines; and
b. Such other investments as the SCCP's BOD may approve, taking into consideration the liquidity requirements of the clearing fund.

Assets of CTGF
The assets of the CTGF consist of:

	2025	2024
Financial assets at amortized cost:		
Cash in banks	**₱10,014,825**	₱27,146,201
Accounts receivable	**3,511,180**	2,930,682
Accrued interest receivable	**10,282,204**	9,122,124
Placement in time deposit	**308,802,688**	306,613,716
Financial assets at FVOCI - debt securities:		
Principal amount	**1,436,492,600**	1,306,416,600
Net unamortized premium	**(4,310,475)**	(10,904,170)
Net unrealized gain (loss) on financial assets at FVOCI	**7,699,708**	(12,067,601)
	1,772,492,730	1,629,257,552
Less accrued management fees	**1,772,493**	1,629,258
	₱1,770,720,237	₱1,627,628,294

As at December 31, 2025 and 2024, financial assets at FVOCI with face value of ₱98.01 million and ₱120.03 million, respectively, will mature within one year from reporting date. Net unrealized gain from CTGF investments held as financial assets at FVOCI follows:

	2025	2024
Balance at beginning of year	**(₱12,067,601)**	(₱12,530,218)
Change in fair value	**19,767,309**	462,617
Balance at end of year	**₱7,699,708**	(₱12,067,601)

For the management and administration of CTGF, the SCCP is entitled to a management fee computed at 0.1% of CTGF fund level as at the close of year. Any proceeds from the CTGF shall not be used for any purpose other than for:

a. Payment of the net money obligations of a defaulting buying member in order to settle a failed trade;
b. Buy-in of relevant securities due from a defaulting selling member in order to settle a failed trade;
c. The satisfaction of losses, liabilities and expenses of the SCCP incidental to the operation of its clearing and settlement functions and the management of the CTGF;
d. For use as collateral in securing credit facilities from the Settlement Banks for the purpose of settling a Failed Trade;
e. For use as collateral in borrowing securities through the Securities Borrowing and Lending Facility; and
f. Payment of premium on any insurance policy taken for the CTGF.

Funds of Suspended Trading Participants (TPs)
The funds of the suspended Trading Participants (TPs) are trust monies. These are presented off balance sheet and are not included within the noncurrent assets and noncurrent liabilities in the statements of financial position since these are not assets or liabilities of the Company.

Suspension of trading operations may either be voluntary or involuntary. In voluntary suspension, the TP applies for the suspension of trading operations. In involuntary suspension, the Exchange or the SEC initiates and orders the suspension of the trading operations of the TP in accordance with the securities laws.

Under Section 33 of the Securities Regulation Code, when the Exchange shall have found that the financial condition of its member firm has so deteriorated that it cannot readily meet the demands of its customers for the delivery of securities and/ or payment of sales proceeds, the Exchange shall, upon order of the Commission, take over the operation of the insolvent member firm and immediately proceed to settle the member firm's liabilities to its customers.

In August 1997, November 2003, and September 2008, the Exchange, through its Market Regulation Division, imposed an involuntary suspension of the operations of Marino Olondriz Y Cia, Asian Capital Equities, Inc., and HK Securities, Inc., respectively. Subsequently, the SEC issued takeover orders against the above TPs. Further, in December 2002 and October 2003, Pryce Securities, Inc. and Wise Securities, Inc. correspondingly suspended their operations voluntarily.

In May 2010, the Board of Directors of the Exchange approved the creation of Capital Markets Integrity Corporation (CMIC), a wholly-owned subsidiary that will function as the independent audit, surveillance and compliance unit of the Exchange with authority to adopt, enforce, implement and interpret rules, guidelines, and securities laws applicable to the operations and dealings of trading participants and other market participants of the Exchange. Thus, CMIC succeeded the Market Regulation Division of the Exchange after the Board of Directors of the Exchange approved the spinoff of the said division into a separate independent corporation.

Following the grant of the SEC of its self-regulatory organization status, the Exchange, in August 2014, turned over to CMIC the fund balances of the five (5) suspended TPs totaling ₱23.38 million, broken down as follows:

Pryce Securities, Inc.	₱8,365,421
HK Securities, Inc.	5,582,686
Wise Securities Philippines, Inc.	4,471,976
Asian Capital Equities, Inc.	2,594,393
Marino Olondriz Y Cia	2,367,458
	₱23,381,934

In 2015, the SEC, issued an order directing CMIC to take over the operations of I. Ackerman & Co., Inc. (IACI). SEC approved the liquidation and allocation plan for distribution of trade-related assets of IACI in July 2016. In October 2021, CMIC opened a bank account in its name and transferred ₱2.29 million from the funds of IACI to facilitate the processing of customer claims. As at December 31, 2023, the fund balance of IACI, under custody of CMIC, is ₱6.01 million, of which ₱4.11 million is invested in time deposit for 83 days at 6.25% per annum.

The responsibilities of CMIC with regard to the funds of the suspended TPs include handling the customer accounts, disbursing and settling of any customer claims, and managing the money balances.

In 2017, the Board of Directors of CMIC proposed the imposition of a custodial fee of 1/2 of 1% per annum on the fund balances of the suspended TPs. The proposal was presented to the SEC for approval in 2019. The collection of custodial fees by the Company took effect on March 21, 2019. From April 1, 2019 to December 31, 2022, custodial fees amounted to ₱711,815, inclusive of 12% VAT of ₱76,266.

As at December 31, 2025 and 2024, the fund balances of the six (6) suspended TPs, net of custodial fees, are as follows:

	2025	2024
I. Ackerman & Co., Inc.	**₱13,329,145**	₱9,813,032
Pryce Securities Inc.	**12,554,453**	11,686,944
Asian Capital Equities, Inc.	**10,397,542**	9,316,998
HK Securities, Inc.	**8,633,687**	8,178,968
Marino Olondriz Y Cia	**7,449,075**	6,813,412
Wise Securities Philippines, Inc.	**5,616,923**	5,410,596
	₱57,980,825	₱51,219,950

As at December 31, 2025 and 2024, ₱51.34 million and ₱42.37 million of the total amount is invested in time deposit for 86-89 days and 60 days at 5.125% per annum and 5.75% per annum, respectively.

In November 2019, the SEC issued an order directing CMIC to take over the operations of R & L Investments, Inc. (R&L). The SEC approved the allocation plan for the settlement of claimants or client accounts of R&L in December 2022. Disbursements for client's claims shall be made directly from the accounts of R&L.

In November 2024, the SEC En Banc ordered CMIC to take-over the operations of Equitiworld Securities, Inc. (ESI) for the purpose of settling the ESI's liabilities to its customers, the PSE and other trading participants. In May 2025, CMIC submitted to the SEC a proposed allocation plan. The SEC, in June 2025, approved the release of intact shares to Equitiworld clients ahead of the full approval of the allocation plan. In August 2025, pursuant to the takeover order, CMIC opened a bank account in its name in order to deposit a check received from the Philippine Depository & Trust Corporation representing accumulated cash dividends of Equitiworld's various clients. The balance of the bank account, as of December 31, 2025 amounted to ₱8.76 million (see Note 17).

38. Note to the Consolidated Statements of Cash Flows

Changes in Liabilities arising from Financing Activities

In 2025, 2024 and 2023, changes in liabilities arising from financing activities follow:

	January 1, 2025	**Cash flows**	**Others** (Notes 20, 22 and 29)	**December 31, 2025**
Lease liabilities	**₱109,406,120**	**(₱50,347,186)**	**₱35,530,468**	**₱94,589,402**
Funds held in trust	**–**	**294,000,000**	**–**	**294,000,000**
Loans payable	**–**	**893,250,000**	**1,022,314**	**894,272,314**
Accrued interest payable	**–**	**(28,468,603)**	**52,675,003**	**24,206,400**
Dividends payable	**90,175,488**	**(810,226,504)**	**822,678,670**	**102,627,654**
	₱199,581,608	**₱298,207,707**	**₱911,906,455**	**₱1,409,695,770**

	January 1, 2024	Cash flows	Others (Notes 22 and 29)	December 31, 2024
Lease liabilities	₱78,968,482	(₱26,557,140)	₱56,994,778	₱109,406,120
Dividends payable	−	(820,848,390)	911,023,878	90,175,488
	₱78,968,482	(₱847,405,530)	₱968,018,656	₱199,581,608

	January 1, 2023	Cash flows	Others (Notes 22 and 29)	December 31, 2023
Lease liabilities	₱24,659,331	(₱26,518,640)	₱80,827,791	₱78,968,482
Dividends payable	−	(820,797,130)	820,797,130	−
	₱24,659,331	(₱847,315,770)	₱901,624,921	₱78,968,482

Others pertain to the cash dividends declared during the year and interest expense on lease liabilities and loans payable, and additions to lease liabilities. The Group classifies interest paid as cash flows from operating activities.

Noncash transaction under Financing Activities
Noncash activities in 2025, 2024 and 2023 are as follows:
- Additions to lease liabilities amounting to ₱28.02 million in 2025 and ₱75.08 million in 2023 (see Note 29).
- There were no noncash activities in 2024.

Noncash transactions under Investing Activities
Noncash activities in 2025, 2024 and 2023 are as follows:
- Reversal of accruals in investment properties and buildings amounting to ₱0.75 million in 2023 (see Note 14).
- Acquisition of property and equipment on account amounting to ₱11.07 million, ₱46.62 million and ₱71.03 million in 2025, 2024 and 2023, respectively (see Note 13).
- Additions to right-of-use asset amounting to ₱28.02 million in 2025 and ₱75.08 million in 2023 (see Note 29).

39. Event After the Reporting Period

Acquisition of Non-Controlling Interest
In February 2026, the Exchange entered into and signed an agreement with another PDSHC stockholder, for the acquisition of additional 21,292 common shares of PDSHC representing 0.34% interest for the total consideration of ₱12.78 million. As at February 25, 2026, the Exchange owns 5.90 million common shares representing 94.55% equity interest (see Note 15).